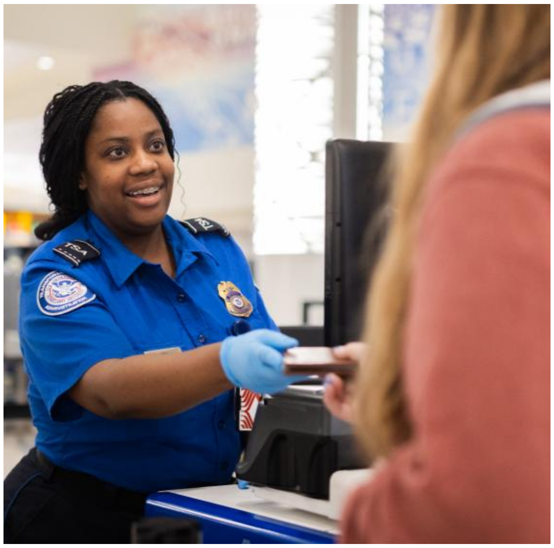
OTHER INFORMATION

SECTION CONTENTS

The Other Information section underscores the Department's commitment to accountability and transparency in addressing key challenges and regulatory requirements.

It provides an overview of essential topics, including the Combined Schedule of Spending, Tax Burden/Tax Gap, and the DHS OIG report on major management and performance challenges, along with Management's Response. By presenting this information, DHS offers stakeholders insight into its operations and reinforces its dedication to responsible governance. Hyperlinks to the Other Information sections are provided below (information is unaudited).



About the Section Cover Photo: CBP air crews preparing for the 60th Presidential Inauguration in Washington, D.C., January 16, 2025.
About the Top Photo on This Page: A FEMA registration event for survivors of severe storms and tornadoes in Sharp County, Arkansas, May 20, 2025.
About the Middle Photo on This Page: A TSA Transportation Security Officer checking travel documents at Baltimore/Washington International Airport in Baltimore, Maryland, March 4, 2025.
About the Bottom Photo on This Page: A CBP officer conducting non-intrusive inspections to screen materials inbound to Superbowl LIX in New Orleans, Louisiana, February 3, 2025.

COMBINED SCHEDULE OF SPENDING

The Combined Schedule of Spending presents an overview of how departments or agencies are spending money. The Schedule of Spending presents combined budgetary resources and obligations incurred for the reporting entity. Obligations incurred reflect an agreement to either pay for goods and services, or provide financial assistance once agreed upon conditions are met. The data used to populate this schedule is the same underlying data used to populate the Statement of Budgetary Resources. Simplified terms are used to improve the public's understanding of the budgetary accounting terminology used in the Statement of Budgetary Resources.

How Was the Money Spent/Issued? This section presents resources that were available to spend as reported in the Statement of Budgetary Resources.

- **Total Budgetary Resources** refers to total budgetary resources as described in the Statement of Budgetary Resources and represents amounts approved for spending by law.
- **Amount Available Not Agreed to be Spent** represents amounts that the Department was approved to spend but did not take action to spend by the end of the fiscal year.[4]
- **Amount Not Available to Spend** represents amounts that the Department was not approved to spend during the current fiscal year.[5]
- **Total Amounts Agreed to be Spent** represents amounts that the Department has made arrangements to pay for goods or services through contracts, orders, grants, or other legally binding agreements of the Federal Government. This line total agrees to the New Obligations and Upward Adjustments line on the Statement of Budgetary Resources.

What Money is Available to Spend? This section presents services or items that were purchased, categorized by Component. Those Components that have a material impact on the Statement of Budgetary Resources are presented separately. Other Components are summarized under Directorates and Other Components, which includes CWMD, FLETC, I&A, OSA, MGMT, OIG, and S&T.

For purposes of this schedule, the breakdown of "What Money is Available to Spend" is based on OMB definitions for budget object class found in OMB Circular No. A-11.

- **Personnel Compensation and Benefits** represents compensation, including benefits directly related to duties performed for the government by federal civilian employees, military personnel, and non-federal personnel.
- **Contractual Service and Supplies** represents purchases of contractual services and supplies. It includes items like transportation of persons and

[4] "Amount Available Not Agreed to be Spent" represents the amounts that have been apportioned by OMB and are available for the Department to incur obligations against; however, no obligations were made against them as of September 30, 2025. This amount reconciles to the Statement of Budgetary Resources line titled "Apportioned, Unexpired Accounts" plus the Statement of Budgetary Resources line titled "Exempt from Apportionment, Unexpired Accounts."
[5] "Amount Not Available to Spend" represents resources that are available to the Department, but they have not been Approved (or Apportioned) for us by the Department yet. This amount reconciles to the Statement of Budgetary Resources line titled "Unapportioned, Unexpired Accounts," plus the Statement of Budgetary Resources line titled "Expired, Unobligated Balance, end of year."

things, rent, communications, utilities, printing and reproduction, advisory and assistance services, operation and maintenance of facilities, research and development, medical care, operation and maintenance of equipment, subsistence and support of persons, and purchase of supplies and materials.

- **Acquisition of Assets** represents the purchase of equipment, land, structures, investments, and loans.
- **Grants, Subsidies, and Contributions** represents, in general, funds to states, local governments, foreign governments, corporations, associations (domestic and international), and individuals for compliance with such programs allowed by law to distribute funds in this manner.
- **Insurance, Refunds, and Other Spending** represents benefits from insurance and federal retirement trust funds, interest, dividends, refunds, unvouchered or undistributed charges, and financial transfers.

Who Did the Money Go To? This section identifies the recipient of the money, by federal and non-federal entities. Amounts in this section reflect "amounts agreed to be spent" and agree to the New Obligations and Upward Adjustments line on the Statement of Budgetary Resources.

As of September 30 ($ in millions)		2025
How Was the Money Spent/Issued?		
Total Budgetary Resources	$	398,308
Less Amount Available Not Agreed to be Spent		(221,929)
Less Amount Not Available to be Spent		(4,896)
Total Amounts Agreed to be Spent	**$**	**171,483**
What Money is Available to Spend?		
U.S. Customs and Border Protection		
Personnel Compensation and Benefits	$	16,391
Contractual Services and Supplies		7,359
Acquisition of Assets		6,771
Grants, Subsidies, and Contributions		122
Insurance, Refunds, and Other Spending		8,321
Total Amounts Agreed to Be Spent		**38,964**
U.S. Coast Guard		
Personnel Compensation and Benefits		7,004
Contractual Services and Supplies		6,481
Acquisition of Assets		3,594
Grants, Subsidies, and Contributions		261
Insurance, Refunds, and Other Spending		84
Total Amounts Agreed to Be Spent		**17,424**
U.S. Citizenship and Immigration Services		
Personnel Compensation and Benefits		3,737
Contractual Services and Supplies		1,998
Acquisition of Assets		729
Grants, Subsidies, and Contributions		(1)
Insurance, Refunds, and Other Spending		2
Total Amounts Agreed to Be Spent		**6,465**
Cybersecurity and Infrastructure Security Agency		
Personnel Compensation and Benefits		761
Contractual Services and Supplies		1,707
Acquisition of Assets		209
Grants, Subsidies, and Contributions		7
Insurance, Refunds, and Other Spending		-
Total Amounts Agreed to Be Spent		**2,684**

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As of September 30 ($ in millions)		2025
What Money is Available to Spend?		
Federal Emergency Management Agency		
Personnel Compensation and Benefits		3,269
Contractual Services and Supplies		12,535
Acquisition of Assets		188
Grants, Subsidies, and Contributions		44,671
Insurance, Refunds, and Other Spending		10,572
Total Amounts Agreed to Be Spent		**71,235**
U.S. Immigration and Customs Enforcement		
Personnel Compensation and Benefits		4,865
Contractual Services and Supplies		6,573
Acquisition of Assets		722
Grants, Subsidies, and Contributions		-
Insurance, Refunds, and Other Spending		38
Total Amounts Agreed to Be Spent		**12,198**
U.S. Secret Service		
Personnel Compensation and Benefits		2,283
Contractual Services and Supplies		1,346
Acquisition of Assets		217
Grants, Subsidies, and Contributions		6
Insurance, Refunds, and Other Spending		(3)
Total Amounts Agreed to Be Spent		**3,849**
Transportation Security Administration		
Personnel Compensation and Benefits		8,150
Contractual Services and Supplies		2,957
Acquisition of Assets		201
Grants, Subsidies, and Contributions		(5)
Insurance, Refunds, and Other Spending		2
Total Amounts Agreed to Be Spent		**11,305**
Directorates and Other Components		
Personnel Compensation and Benefits		1,761
Contractual Services and Supplies		5,250
Acquisition of Assets		334
Grants, Subsidies, and Contributions		5
Insurance, Refunds, and Other Spending		9
Total Amounts Agreed to Be Spent		**7,359**
What Money is Available to Spend?		
Department Totals		
Personnel Compensation and Benefits		48,221
Contractual Services and Supplies		46,206
Acquisition of Assets		12,965
Grants, Subsidies, and Contributions		45,066
Insurance, Refunds, and Other Spending		19,025
Total Amounts Agreed to Be Spent	**$**	**171,483**
Who Did the Money Go To?		
Non-Federal Governments, Individuals, and Organizations	$	136,476
Federal Agencies		35,007
Total Amounts Agreed to be Spent	**$**	**171,483**

TAX BURDEN / TAX GAP

Revenue Gap

The Entry Summary of Trade Compliance Measurement program collects objective statistical data to determine the compliance level of commercial imports with U.S. trade laws, regulations, and agreements, and is used to produce a dollar amount for Estimated Net Under-Collections (also called estimated revenue gap), and a percent of Revenue Gap. The Revenue Gap is a calculated estimate that measures potential loss of revenue owing to noncompliance with trade laws, regulations, and trade agreements using a statistically valid sample of the revenue losses and overpayments detected during Trade Compliance Measurement entry summary reviews conducted throughout the year.

	FY 2025 Preliminary	FY 2024 Final
Estimated Revenue Gap	$2,536 million	$11,664 million
Estimated Revenue Gap of all collectable revenue for year (%)	1.25%	10.59%
Estimated Over-Collection	$5,515 million	$568 million
Estimated Under-Collection	$8,051 million	$12,231 million
Estimated Overall Trade Compliance Rate (%)	98.6%	99.4%

The preliminary overall compliance rate for FY 2025 is 98.6%. The final overall trade compliance rate and estimated revenue gap for FY 2025 will be issued in April 2026.

SUMMARY OF FINANCIAL STATEMENT AUDIT AND MANAGEMENT ASSURANCES

The tables below provide a summary of the financial statement audit results and management assurances for FY 2025.

In FY 2025, the external financial statement auditor per the Integrated Financial Statement audit:

- Continued to identify two of the previously reported areas of material weakness(es) related to IT Controls and Information Systems;
- Identified three new areas of material weakness(es) related to CIP[6], Internal Control Monitoring[7], and Taxes Receivable[8]; and
- Resolved one area of material weakness(es) related to Seized and Forfeited Property Other than Monetary Instruments.

Audit Opinion	Unmodified				
Restatement	No				
Areas of Material Weakness(es)	Beginning Balance	New	Resolved	Consolidated	Ending Balance
IT Controls and Information Systems	1	0	0	0	1
Financial Reporting	1	0	0	0	1
Construction in Progress	0	1	0	0	1
Internal Control Monitoring	0	1	0	0	1
Taxes Receivable	0	1	0	0	1
Seized and Forfeited Property	1	0	1	0	0
Total Areas of Material Weakness(es)	***3***	***3***	***1***	***0***	***5***

Management has performed its evaluation, and the assurance is provided based upon the cumulative assessment work performed in the following areas across the Department:

- Entity Level Controls,
- Financial Reporting,
- Budgetary Resource Management,

[6] Prior year audit deficiencies were previously reported under the Financial Reporting area of material weakness(es). In FY 2025 agency reporting, DHS continues to report CIP internal control deficiencies under the management disclosed Financial Reporting area of material weakness(es).
[7] Prior year audit deficiencies were previously reported under the IT Controls and Information Systems and Financial Reporting areas of material weakness(es). In FY 2025 agency reporting, DHS continues to report Information Used in Controls and Service Provider Monitoring internal control deficiencies under the management disclosed IT Controls and Information Systems and Financial Reporting areas of material weakness(es).
[8] In FY 2025 agency reporting, DHS is reporting Taxes Receivable internal control deficiencies under the management disclosed Revenue and Receivables Reporting area of material weakness(es).

- Fund Balance with Treasury,
- Grants Management,
- Human Resources and Payroll Management,
- Information Technology General Controls,
- Insurance Management,
- Payment Management,
- Property Plant and Equipment, and
- Revenue and Receivables.

One additional area of material weakness(es), related to Revenue and Receivables Reporting, was newly identified by management in FY 2025. The table on the following pages indicates the areas of material weakness(es) that have been identified by management and where DHS will continue focused remediation efforts going forward.

Effectiveness of Internal Control over Financial Reporting (FMFIA §2)						
Statement of Assurance	Modified					
Areas of Material Weakness(es)	Beginning Balance	New	Resolved	Consolidated	Reassessed	Ending Balance
IT Controls and Information Systems	1	0	0	0	0	1
Financial Reporting	1	0	0	0	0	1
Insurance Management	1	0	0	0	0	1
Budgetary Accounting	1	0	0	0	0	1
Revenue and Receivables Reporting	0	1	0	0	0	1
Total Areas of Material Weakness(es)	***4***	***1***	***0***	***0***	***0***	***5***
Effectiveness of Internal Control over Operations (FMFIA §2)						
Statement of Assurance	Unmodified					
Areas of Material Weakness(es)	**Beginning Balance**	**New**	**Resolved**	**Consolidated**	**Reassessed**	**Ending Balance**
None Noted	0	0	0	0	0	0
Total Areas of Material Weakness(es)	***0***	***0***	***0***	***0***	***0***	***0***

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Conformance with Federal Financial Management System Requirements (FMFIA §4)						
Statement of Assurance	Federal Systems do not conform to financial management system requirements					
Areas of Non-Conformance(s)	**Beginning Balance**	**New**	**Resolved**	**Consolidated**	**Reassessed**	**Ending Balance**
Federal Financial Management Systems Requirements: Financial System Security & Integration of Financial Management Systems	1	0	0	0	0	1
Federal Accounting Standards	1	0	0	0	0	1
USSGL: Transactional Level Reporting	1	0	0	0	0	1
Total Areas of Non-Conformance(s)	***3***	***0***	***0***	***0***	***0***	***3***

Compliance with 803(a) of the Federal Financial Management System Requirements (FFMIA)		
	DHS	**Auditor**
1. Federal Financial Management System Requirements	Lack of substantial compliance noted	Lack of substantial compliance noted
2. Applicable Federal Accounting Standards	Lack of substantial compliance noted	No lack of substantial compliance noted
3. USSGL at Transaction Level	Lack of substantial compliance noted	Lack of substantial compliance noted

PAYMENT INTEGRITY INFORMATION ACT REPORTING

PIIA[9] requires agencies to:

- Review and assess all programs and activities administered;
- Identify programs determined to be susceptible to significant improper payments[10];
- Estimate the annual amount of improper payments; and
- Submit those estimates to Congress.

In accordance with the OMB Circular No. A-123, Appendix C , *Requirements for Payment Integrity Improvement*, Federal agencies are required to assess improper payments and report annually on their efforts.[11] Full publication of the Department's efforts, results, and compliance related to PIIA can be found on PaymentAccuracy.gov.

DHS remains strongly committed to ensuring the agency's transparency and accountability to the American taxpayer and achieving the most cost-effective strategy on the reduction of improper payments.

Overview

In the wake of the September 11, 2001, terrorist attacks, Congress passed the *Homeland Security Act of 2002,* which established DHS and combined the functions of 22 Federal departments and agencies with broad responsibilities to secure the Nation from threats. Since its inception, the Department has evolved into the third largest Cabinet agency and has matured its mission areas to collectively prevent attacks, mitigate threats, respond to national emergencies, and preserve economic security. The threats to our homeland have evolved over the years of the Department, with the following distasters having significant impact to the Department's ongoing payment intergrity efforts:

- In 2017, the Nation faced a historic Atlantic hurricane season. The effects from consecutive hurricanes Harvey, Irma, and Maria were widespread, causing long-lasting damage across the southern continental U.S. and surrounding islands, as well as Puerto Rico and the U.S. Virgin Islands. Supplemental appropriations were designated as an emergency requirement in the *Supplemental Appropriations for Disaster Relief Requirements Act, 2017* (P.L. 115-56), the *Additional Supplemental Appropriations for Disaster Relief Requirements Act of 2017* (P.L. 115-72), and the *Further Additional Supplemental Appropriations for Disaster Relief Requirements Act, 2018* (P.L. 115-123), which were issued to specific agencies to provide the resources needed to recover and rebuild following recent hurricanes and

[9] Unless otherwise indicated, the term "PIIA" is used to reflect the current legislative language regarding improper payments as it formally revoked the *Improper Payments Information Act of 2002*, the *Improper Payments Elimination and Recovery Act of 2010*, and the *Improper Payments Elimination and Recovery Improvement Act of 2012*.

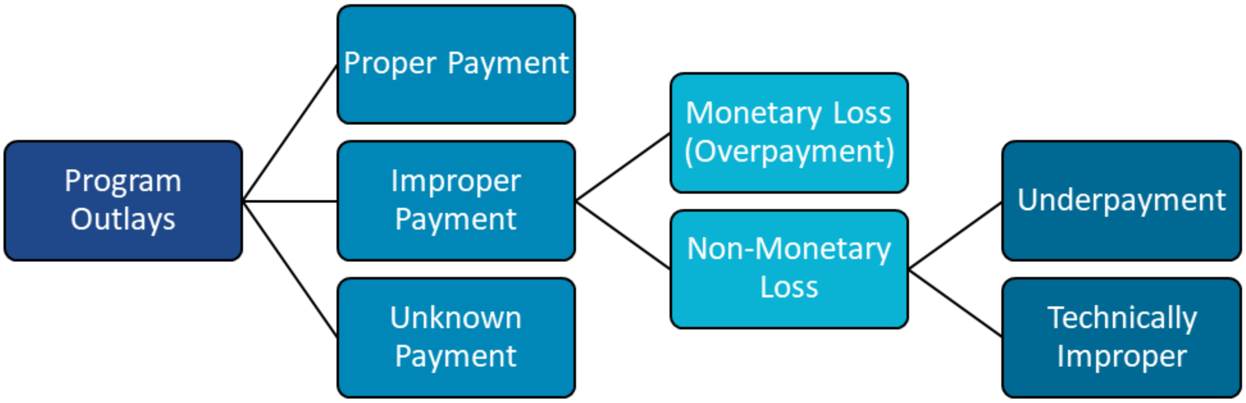
[10] A program with significant improper payments has both a 1.5% improper payment rate of program outlays and at least $10 million in improper payments of all program or activity payments made during the year or exceeds $100 million dollars in improper payments regardless of the improper payment rate percentage of total program outlays.

[11] Due to rounding throughout all following figures and tables, amounts and percentages may reflect the exact total respective at the summary amounts and percentages reported. For precise data at the reportable program level, refer to PaymentAccuracy.gov.

other applicable natural disasters. Within these supplemental appropriations, DHS received a total supplemental appropriation amount of $50.72 billion. P.L. 115-123 requires any agency receiving funds under P.L. 115-123 as well as P.L. 115-72 and P.L. 115-56 to consider any programs expending more than $10 million of funds in any one fiscal year highly susceptible to improper payments for the purposes of the PIIA. Once disaster supplemental funded programs met or exceeded the $10 million threshold in payments applicable for PIIA review, the program was deemed susceptible to significant improper payments and thus applicable for statistical sampling and reporting. Since the Supplemental Appropriations for Disaster Relief Requirements disbursement activity began, the Department has identified and monitored programs that have expended more than $10 million in applicable outlays in any given fiscal year.

- In 2020, the Coronavirus Disease 2019 (COVID-19) pandemic impacted the Nation. Congress provided $2 trillion in supplemental funding through the *Coronavirus Aid, Relief, and Economic Security Act of 2020* (CARES Act) (P.L. 116-136), an economic relief package. As the executer of over $45 billion in CARES Act funding, DHS was at the epicenter in the Federal Government's response to the pandemic and worked closely with other federal agencies, and state, local, tribal, and territorial governments to distribute the much-needed funding. In FY 2021, DHS Components received over $50 billion in funding from *American Rescue Plan Act of 2021* (P.L. 117-2) with the majority allotted to the FEMA DRF. The DRF is an appropriation used to direct, coordinate, manage, and fund eligible response and recovery efforts associated with domestic major disasters and emergencies. In addition, the FEMA DRF received over $19 billion from the *Consolidated Appropriations Act of 2022* (P.L. 117-103) to carry out disaster relief activity, including COVID-19 related activity.

DHS uses sampling and statistical methods to estimate proper payments, improper payments, and unknown payments among its programs. See the below figure for an illustration of the payment categories as well as improper payment types and table on the following page for payment type definitions.



Payment Type	Definition
Proper Payment	A payment made to the right recipient for the right amount that has met all program specific legally applicable requirements for the payment.
Improper Payment	A payment that was made in an incorrect amount under statutory, contractual, administrative, or other legally applicable requirements. The term improper payment includes any payment to an ineligible recipient; any payment for an ineligible good or service; any duplicate payment; any payment for a good or service not received, except for those payments where authorized by law; and any payment that does not authorized by law; and any payment that does not account for credit for applicable discounts.
Unknown Payment	Instances in which a program cannot determine whether a payment is proper or improper due to insufficient payment documentation. Further, payments should be categorized as unknown if the agency is still conducting research or reviews to determine the appropriateness of the payment at the time the agency must finalize and report its estimates.
Monetary Loss (Overpayment)	Payments to the wrong recipient, or to the correct recipient in a higher amount than what should have been disbursed, are monetary losses to the government.
Non-Monetary Loss	Payments to the correct recipient in a lesser amount than what should have been disbursed are non-monetary losses to the government.
Underpayment	Payments to the correct recipient in a lesser amount than what should have been disbursed.
Technically Improper	A payment was made to the right recipient for the right amount, but the payment process failed to follow all applicable statute and regulation there is no amount that needs to be recovered, however, because the payment failed to adhere to all applicable statutes and regulations during the payment process the payment itself is considered a technically improper payment.

Phases of Assessment

Under Appendix C of OMB Circular A-123, all programs with annual outlays greater than $10 million fall into either Phase 1 (subject to periodic risk assessments) or Phase 2 (subject to statistical testing and reporting requirements). Based on improper payment risk assessments, programs that are likely to have an annual amount of improper and unknown payments below the statutory threshold are categorized as Phase 1 and are required to complete a risk assessment once every three years. Programs likely to be above the statutory threshold are categorized as Phase 2 and are required to report an improper payment estimate.

DHS Payment Integrity Reporting for 2025

Due to the burden of testing and reporting for the programs impacted heavily by disaster supplemental appropriation disbursements, DHS is generally reporting statistical testing results two years in arrears. While supporting the mission, DHS remains strongly committed to ensuring our agency's transparency and accountability to the American taxpayer and achieving the most cost-effective strategy on the reduction of improper payments.

For the 2025 reporting of Phase 2 programs, DHS is publishing improper payment estimates for a total of three programs. All programs disbursement activity subject to assessment and reporting in 2025 included outlay activity from FY 2023.

1. FEMA Funeral Assistance
2. FEMA Public Assistance – VAYGo
3. ICE Procurement, Construction, and Improvements – Disaster Supplemental Funds

For Phase 2 Programs, DHS conducted assessments over more than $21.6 billion in disbursement activity with over 98% of disbursements being deemed proper. As such, DHS is reporting an agency-wide error rate of approximately 1.26% in 2025. For program specific details and results, please see below and refer to the DHS published results on PaymentAccuracy.gov.

FEMA Funeral Assistance

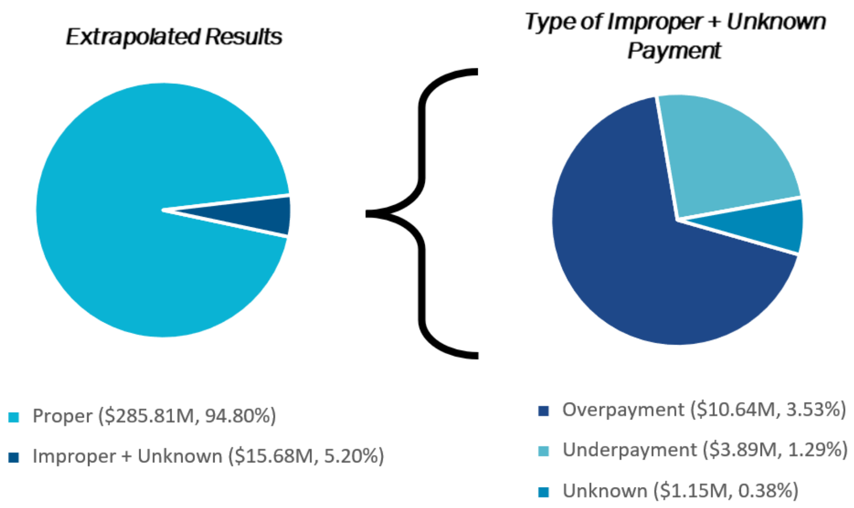
In response to the COVID-19 pandemic, a nationwide emergency declaration was issued under Section 501(b) of the Stafford Act (42 U.S.C. §§5121 et seq.). Subsequently, major disaster declarations for 50 states, 5 territories, the District of Columbia, and 3 tribes were approved. Funeral Assistance is a form of Other Needs Assistance that FEMA may provide when the President authorizes the Individuals and Households Program—a type of Individual Assistance—pursuant to a Stafford Act declaration of emergency or major disaster.

The agency will reimburse up to $9,000 in eligible funeral expenses incurred on or after January 20, 2020, at 100% federal cost share, for deaths attributed to the COVID-19 pandemic and for applicants that have met the eligibility criteria to receive COVID-19 Funeral Assistance. Per program policy requirements, applicants may only receive financial assistance for expenses incurred that have not already been covered, paid, and/or reimbursed by other sources. As noted in the required documentation, applicants for the COVID-19 Funeral Assistance must provide FEMA with proof of funds received from other sources specifically designated for funeral costs. FEMA provided COVID-19 Funeral Assistance may not duplicate burial or funeral insurance proceeds, pre-planned or pre-paid funeral contracts, pre-paid trust for funeral expenses, irrevocable trust for Medicaid, financial assistance from voluntary organizations, government programs or agencies, or any other sources specifically designated for funeral expenses. Any eligible COVID-19 Funeral Assistance is to be reduced by the amount of other assistance that the applicant received for the same expenses. As of February 1, 2025, there were more than 501,384 applications totaling more than $3.23 billion for 512,387 decedents.[12] Applications for a funeral assistance reimbursement were accepted by FEMA through September 30, 2025.

For the testing conducted in 2025, FEMA's assessment was focused on the associated FY 2023 disbursements of over $301.4 million applicable for review under PIIA. The FEMA Funeral Assistance program reported a 4.31% estimated

[12] Applications can include the funeral expenses for more than one decedent.

payment error rate in 2025. Refer to the figure below for additional detail regarding the breakouts and associated error categorization.



The majority of the identified improper payments stemmed from the required human intervention for manually processing COVID-19 Funeral Assistance disbursements. As such, the majority of the FEMA corrective actions taken and additional actions planned to be taken focus on policy and procedural enhancements, training, and process improvements to reduce and prevent future improper payments.[13] In compliance with OMB Circular No. A-123, Appendix C requirements, the FEMA Funeral Assistance program will remain in Phase 2, conduct a review, and publish results in 2026 over FY 2024 program disbursement activity.

FEMA Public Assistance – VAYGo

The Stafford Act authorizes the President to provide federal assistance when the magnitude of an incident or threatened incident exceeds the affected state, local, territorial, and tribal capabilities to respond or recover. The purpose of the Public Assistance grant program aims to support communities' recovery from major disasters by providing them with grant assistance for debris removal, life-saving emergency protective measures, and restoring public infrastructure. Local governments, states, tribes, territories, and certain private nonprofit organizations are eligible to apply.

[13] The application period for this program has ended as of September 30, 2025. With the expected sharp decline of outlay activity, additional policy updates stemming from root cause analysis of prior disbursement activity are not planned.

This program provides grants to **state, local, tribal, and territorial governments as well as certain types of private nonprofits,** so that communities can quickly respond to and recover from major disasters or emergencies.

Public Assistance grants may reimburse for disaster-related debris removal, life-saving emergency protective measures, restoration of community and social service facilities (e.g., schools, hospitals, community centers, houses of worship), and restoration of public infrastructure.

How to Apply

- Contact your state or local emergency management agency or visit us online at fema.gov/assistance/public
- Apply through Grants Portal at grantee.fema.gov/

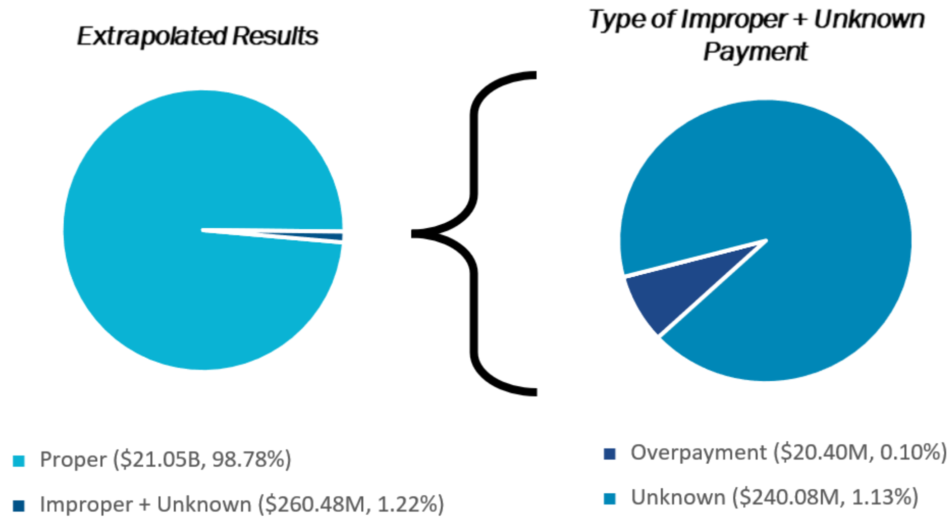
Infographic – What is Public Assistance?

Public Assistance is FEMA's largest grant program and provides emergency assistance to save lives and protect property and assists with funding for permanently restoring community infrastructure affected by a disaster.

FEMA implemented the VAYGo pilot program to test Public Assistance and certain other disaster grant expenditures, originally scoped to Hurricanes Harvey, Irma, and Maria. Since these disasters, the VAYGo program has expanded to include coverage over additional disaster declarations, such as COVID-19 response as well as disasters declared during or after FY 2020. As part of VAYGo, FEMA reviews project documentation for a sample of funds as they are drawn down by recipients and conducts testing to verify whether the project funding was appropriately expended by the subrecipient. One goal of VAYGo is to identify potential problems earlier, allowing FEMA and recipients—including Public Assistance recipients—to correct or mitigate issues earlier in the process instead of waiting until grant closeout. According to FEMA officials that conduct the testing, the primary goal of VAYGo is to test for ineligible costs, which can serve as a gateway for the agency to be on notice of issues of fraud, waste, or abuse in the Public Assistance program.

On March 13, 2020, the Presidential declaration of a nationwide COVID-19 emergency increased the level of federal response from FEMA, as well as support to state, local, tribal, and territorial partners across the Nation. The agency’s response to COVID-19 was unprecedented. When the White House directed FEMA to lead operations, COVID-19 became the first national pandemic response that FEMA has led since it was established in 1979. It was also the first time in U.S. history the President declared a nationwide emergency under Section 501b of the Stafford Act and authorized Major Disaster Declarations for all states and territories for the same incident.

For the testing conducted in 2025, FEMA’s assessment was focused on the associated FY 2023 disbursements of over $21.31 billion applicable for review under PIIA. The FEMA Public Assistance – VAYGo program reported a 1.22% estimated payment error rate in 2025. Refer to the figure on the following page for additional detail regarding the breakouts and associated error categorization.



The root causes of the improper payments and unknown payments have remained consistent since prior year reporting. Generally, unknown payments steadily account for approximately 90% of the overall reported error rate and valuation. FEMA continues to work with recipients on obtaining additional information and missing documentation for the unknown payments. To assist in obtaining sufficient supporting documentation in a timely manner, FEMA remains committed to streamlining and automating the Public Assistance process, training relevant parties and stakeholders, ensuring that policy and process documentation is current and available, and maintaining consistent and regular oversight through internal reviews and audit activity while not overburdening grant recipients.

Per prior year reporting, FEMA Public Assistance – VAYGo had previously been designated as a High-Priority program in account with OMB Circular No. A-123, Appendix C guidance.[14] As such, DHS provided OMB quarterly reporting throughout FY 2025 for publication as a Payment Integrity Scorecard on PaymentAccuracy.gov. Based on payment integrity estimation results published in 2025, FEMA Public Assistance – VAYGo will no longer be designated as a High-Priority program for 2026.

ICE Procurement, Construction, and Improvements – Disaster Supplemental Funds

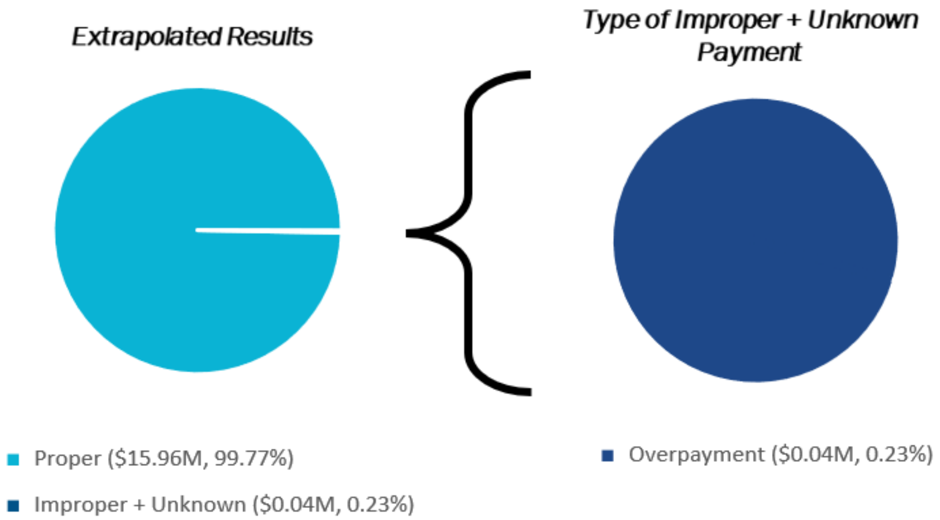
ICE Procurement, Construction, and Improvements concentrates on the investment planning, operational development, engineering, and procurement of headquarters and field office operational assets and systems. Specifically, Procurement, Construction, and Improvements resources support the operational availability of IT infrastructure, a safe working environment across ICE frontline operations, and the delivery of critical, mission-facing capabilities.

As a result of the 2017 hurricane season, ICE was provided disaster supplemental funding of over $33 million to address damage and interior repairs at multiple locations as a result of Hurricanes Harvey, Irma, and Maria that impacted ICE's Enforcement Removal Operations and Homeland Security Investigations operations.

For the testing conducted in 2025, ICE's assessment was focused on the associated FY 2023 disbursements of just under $16 million applicable for review under PIIA. The ICE Procurement, Construction, and Improvements – Disaster

[14] A program automatically becomes 'High-Priority' when its annual reported monetary loss improper payment estimate is greater than or equal to $100 million, regardless of the improper payment and unknown payment rate. The point at which a program reports its annual improper payment and unknown payment estimate is the point at which a program would move in or out of High-Priority status.

Supplemental Funds program reported a 0.23% payment error rate in 2025. Refer to the figure below for additional detail regarding the breakouts and associated error categorization.



DHS Consolidated Payment Integrity Reporting

Overall, DHS conducted assessments over more than $21.6 billion in disbursement activity with over 98% of disbursements being deemed proper. As such, DHS is reporting an agency-wide error rate of approximately 1.26% in 2025.[15]

As highlighted in the program specific reporting, the FEMA Public Assistance – VAYGo program accounts for over 98% of the disbursement amount that was reviewed by the agency for Phase 2 programs and contributed to over 95% of the DHS total improper payment and unknown payment reported totals.

The table on the following page summarizes improper payment amounts for all DHS programs deemed to be susceptible to significant improper payments.

[15] The total does not represent a true statistical improper payment estimate for the Department.

DHS Program Name	Testing Conducted in FY 2024			Testing Conducted in FY 2025					Testing Planned for FY 2026
	Outlays ($M)	IP + UP[16] ($M)	IP + UP (%)	Outlays ($M)	Proper ($M)	Proper (%)	IP + UP ($M)	IP + UP (%)	Reduction Target (%)
DHS Programs in Phase 2 and Reporting on Disbursements from Two Fiscal Years Prior									
FEMA Funeral Assistance	$1,967.56	$59.47	3.50%	$301.49	$288.50	95.69%	$12.99	4.31%	4.00%
FEMA Public Assistance – VAYGo[17]	$39,724.05	$1,532.49	3.86%	$21,313.03	$21,052.56	98.78%	$260.48	1.22%	1.50%[18]
Stratum: Disaster Supplemental Funds	*$3,384.14*	*$18.13*	*0.54%*	*$2,116.46*	*$2,036.14*	*96.20%*	*$80.32*	*3.80%*	*N/A*
Stratum: COVID-19	*$32,714.97*	*$1,323.21*	*4.04%*	*$14,713.63*	*$14,535.01*	*98.79%*	*$178.62*	*1.21%*	*N/A*
Stratum: All Other	*$3,624.93*	*$191.16*	*5.27%*	*$4,482.94*	*$4,481.40*	*99.97%*	*$1.54*	*0.03%*	*N/A*
ICE Procurement, Construction, and Improvements – Disaster Supplemental Funds	*N/A, Program identified to begin reporting in 2025*			$16.00	$15.96	99.77%	$0.04	0.23%	N/A[19]
DHS Programs Moved out of Phase 2 (Statistical Testing and Reporting) in 2025									
CBP Procurement, Construction, and Improvements – Disaster Supplemental Funds	$19.67	$0.00	0.00%	*N/A – As program was below the thresholds to be deemed susceptible to significant improper payments, the CBP Procurement, Construction, and Improvements – Disaster Supplemental Funds program has been reverted to Phase 1.*					
TOTAL	$41,411.28	$1,591.96	3.84%[20]	$21,630.52	$21,357.02	98.74%	$273.51	1.26%[21]	N/A

The primary root causes for errors identified during the 2025 assessment and reporting period were:

- Unable to Determine whether the Payment is Proper or Improper due to Insufficient Documentation (categorized as Unknown Payments) – estimated error amount of just over $240 million accounting for over 87% of the total DHS reported error rate; and
- Failure to Access Data or Information (categorized as Improper Payments) – estimated error amount of over $33 million accounting for over 12% of the total DHS reported error rate.

To address the issues surrounding insufficient documentation, FEMA continues to work with recipients and applicants on obtaining additional information and missing documentation for the unknown payments. FEMA remains committed to

[16] In the table, "IP" stands for improper payments and "UP" stands for unknown payments.
[17] Due to the delay in reporting, the FEMA Public Assistance – VAYGo program reported for a consolidated 24-month disbursement period (FY 2021 and FY 2022 disbursements) in 2024. Additional sub line items have been added to provide a detailed breakout by disbursement period as well as by stratum (Disaster Supplemental Funds, COVID-19, or All Other).
[18] As the FEMA Public Assistance – VAYGo program has completed assessments in excess of 24 consecutive months of disbursement activity, DHS considers the program fully baselined and thus has published a reduction target for this program of 1.50% to align to the agency's tolerable rate and the OMB criteria for a program to be considered susceptible to significant improper payments.
[19] As the FY 2025 reporting was the first year of PIIA reporting for the ICE Procurement, Construction, and Improvements – Disaster Supplemental Funds program, DHS is not considering the program fully baselined. While continuing to establish a full baseline, DHS is tracking 1.5% as the 2026 reporting period reduction target for this program.
[20] The total does not represent a true statistical improper payment estimate for the Department.
[21] The total does not represent a true statistical improper payment estimate for the Department.

streamlining and automating the program processes, training relevant parties and stakeholders, ensuring that policy and process documentation is current and available, and maintaining consistent and regular oversight through internal reviews and audit activity while not overburdening grant recipients and assistance applicants.

Finally, in 2025, the DHS OIG completed its evaluation to determine the Department's compliance with PIIA requirements based off of the 2024 reporting. In its report, *DHS Complied with the Payment Integrity Information Act of 2019 and Progressed in Its Efforts to Prevent and Reduce Improper Payments in FY 2024*, the DHS OIG determined that DHS complied with all PIIA requirements. The DHS OIG determined that DHS also met OMB's requirement to designate programs with improper payment estimates greater than or equal to $100 million, in annual monetary loss, as High-Priority and to provide quarterly reporting submissions to PaymentAccuracy.gov. No recommendations were made by the DHS OIG.

For additional information related to the Department's improper payment efforts, details on the annual results to include error reasoning, corrective actions, as well as other areas of interest, refer to the government-wide reporting archive available on PaymentAccuracy.gov.

GRANTS PROGRAM

DHS continues its efforts in closing out grants and cooperative agreements awards. A summary table of the number of awards and balances for which closeout has not yet occurred, but for which period of performance had elapsed by two years or more prior to September 30, 2025.

Category	2-3 years (FY 2023)	3-5 years (FYs 2022 and 2021)	More than 5 years (FY 2020 and prior)
Number of Grants/Cooperative Agreements with Zero Dollar Balances	541	512	15
Number of Grants/Cooperative Agreements with Undistributed Balances	275	135	13
Total Amount of Undistributed Balances	$64,787,210.22	$8,584,445.25	$2,952,914.32

The above table comprises FEMA data and efforts in closing out its grants and cooperative agreements. During FY 2025, FEMA maintained steady efforts to reduce the agency's backlog of open grant awards with enhanced tracking tools, improved oversight, and continuous coordination with responsible offices. Assistance to Firefighters grant awards accounted for 90.7% of the backlog captured in the FY 2025 population as the Assistance to Firefighter awards were the first to be onboarded into the FEMA Grants Outcomes (GO) grants management system and standard closeout functionality was limited at the time.

Planned actions to close out reported awards include, but are not limited to, continued tracking, oversight, and coordination with responsible offices, and continued closeout functionality enhancements and development in FEMA GO.

CIVIL MONETARY PENALTY ADJUSTMENT FOR INFLATION

The *Federal Civil Penalties Inflation Adjustment Act of 1990*, as amended, requires agencies to make regular and consistent inflationary adjustments of civil monetary penalties to maintain their deterrent effect.

The following represents the Department's civil monetary penalties, all of which were last updated via regulation in 2025. Additional information about these penalties and the latest adjustment is available in the Federal Register Volume 90, No. 1.

Penalty	Authority	Year Enacted	Adjusted New Penalty
CBP			
Non-compliance with arrival and departure manifest requirements for passengers, crew members, or occupants transported on commercial vessels or aircraft arriving to or departing from the United States	8 U.S.C. 1221(g); INA Section 231(g); 8 CFR 280.53(b)(1)	2002	$1,740
Non-compliance with landing requirements at designated ports of entry for aircraft transporting aliens	8 U.S.C. 1224; INA Section 234; 8 CFR 280.53(b)(2)	1990	$4,730
Violations of removal orders relating to aliens transported on vessels or aircraft under section 241(d) of the INA, or for costs associated with removal under section 241(e) of the INA	8 U.S.C. 1253(c)(1)(A); INA Section 243(c)(1)(A); 8 CFR 280.53(b)(4)	1996	$3,988
Failure to remove alien stowaways under section 241(d)(2) of the INA	8 U.S.C. 1253(c)(1)(B); INA Section 243(c)(1)(B); 8 CFR 280.53(b)(5)	1996	$9,970
Failure to report an illegal landing or desertion of alien crewmen, and for each alien not reported on arrival or departure manifest or lists required in accordance with section 251 of the INA (for each alien)	8 U.S.C. 1281(d); INA Section 251(d); 8 CFR 280.53(b)(6)	1990	$472 for each alien
Use of alien crewmen for longshore work in violation of section 251(d) of the INA	8 U.S.C. 1281(d); INA Section 251(d); 8 CFR 280.53(b)(6)	1990	$11,823
Failure to control, detain, or remove alien crewmen	8 U.S.C. 1284(a); INA Section 254(a); 8 CFR 280.53(b)(7)	1990	Minimum $1,182 Maximum $7,093
Employment on passenger vessels of aliens afflicted with certain disabilities	8 U.S.C. 1285; INA Section 255; 8 CFR 280.53(b)(8)	1990	$2,364
Discharge of alien crewmen	8 U.S.C. 1286; INA Section 256; 8 CFR 280.53(b)(9)	1990	Minimum $3,547 Maximum $7,093
Bringing into the United States alien crewmen with intent to evade immigration laws	8 U.S.C. 1287; INA Section 257; 8 CFR 280.53(b)(10)	1990	$23,647
Failure to prevent the unauthorized landing of aliens	8 U.S.C. 1321(a); INA Section 271(a); 8 CFR 280.53(b)(11)	1990	$7,093
Bringing to the United States aliens subject to denial of admission on a health-related ground	8 U.S.C. 1322(a); INA Section 272(a); 8 CFR 280.53(b)(12)	1990	$7,093
Bringing to the United States aliens without required documentation	8 U.S.C. 1323(b); INA Section 273(b); 8 CFR 280.53(b)(13)	1990	$7,093
Improper entry	8 U.S.C. 1325(b); INA Section 275(b); 8 CFR 280.53(b)(15)	1996	Minimum $100 Maximum $500
Dealing in or using empty stamped imported liquor containers	19 U.S.C. 469	1879	$662
Transporting passengers between coastwise points in the United States by a non-coastwise qualified vessel	46 U.S.C. 55103(b); 19 CFR 4.80(b)(2)	1898	$996

Penalty	Authority	Year Enacted	Adjusted New Penalty
Towing a vessel between coastwise points in the United States by a non-coastwise qualified vessel	46 U.S.C. 55111(c); 19 CFR 4.92	1940	Minimum $1,161 Maximum $3,650 plus $198 per ton
Failure to depart voluntarily	8 U.S.C. 1229(c)(d); INA Section 240B(d); 8 CFR 280.53(b)(3)	1952	Minimum $1,992 Maximum $9,970
Failure to depart	8 U.S.C. 1324d; INA Section 274D; 8 CFR 280.53(b)(14)	1952	$998
Employing a vessel in a trade without a required Certificate of Documentation	19 U.S.C. 1706(a); 19 CFR 4.80(i)	1980	$1,659
Transporting passengers coastwise for hire by certain vessels (knows as Bowaters vessels) that do not meet specified conditions	46 U.S.C. 12118(f)(3)	1958	$662
USCG			
Saving Life and Property	14 U.S.C. 521(c)	2014	$13,295
Saving Life and Property (Intentional Interference with Broadcast)	14 U.S.C. 521(e)	2012	$1,365
Confidentiality of Medical Quality Assurance Records (first offense)	14 U.S.C. 936(i); 33 CFR 27.3	1992	$6,677
Confidentiality of Medical Quality Assurance Records (subsequent offenses)	14 U.S.C. 936(i); 33 CFR 27.3	1992	$44,521
Obstruction of Revenue Officers by Masters of Vessels	19 U.S.C. 70; 33 CFR 27.3	1935	$9,956
Obstruction of Revenue Officers by Masters of Vessels—Minimum Penalty	19 U.S.C. 70; 33 CFR 27.3	1935	$2,323
Failure to Stop Vessel When Directed; Master, Owner, Operator or Person in Charge	19 U.S.C. 1581(d)	1930	$5,000
Failure to Stop Vessel When Directed; Master, Owner, Operator or Person in Charge - Minimum Penalty	19 U.S.C. 1581(d)	1930	$1,000
Anchorage Ground/Harbor Regulations General	33 U.S.C. 471; 33 CFR 27.3	2010	$14,435
Anchorage Ground/Harbor Regulations St. Mary's River	33 U.S.C. 474; 33 CFR 27.3	1946	$996
Bridges/Failure to Comply with Regulations	33 U.S.C. 495(b); 33 CFR 27.3	2008	$36,439
Bridges/Drawbridges	33 U.S.C. 499(c); 33 CFR 27.3	2008	$36,439
Bridges/Failure to Alter Bridge Obstructing Navigation	33 U.S.C. 502(c); 33 CFR 27.3	2008	$36,439
Bridges/Maintenance and Operation	33 U.S.C. 533(b); 33 CFR 27.3	2008	$36,439
Bridge to Bridge Communication; Master, Person in Charge or Pilot	33 U.S.C. 1208(a); 33 CFR 27.3	1971	$2,654
Bridge to Bridge Communication; Vessel	33 U.S.C. 1208(b); 33 CFR 27.3	1971	$2,654
Ports and Waterway Safety Regulations	46 U.S.C. 70036(a); 33 CFR 27.3	1978	$117,608
Vessel Navigation: Regattas or Marine Parades; Unlicensed Person in Charge	46 U.S.C. 70041(d)(1)(B); 33 CFR 27.3	1990	$11,823
Vessel Navigation: Regattas or Marine Parades; Owner Onboard Vessel	46 U.S.C. 70041(d)(1)(C); 33 CFR 27.3	1990	$11,823
Vessel Navigation: Regattas or Marine Parades; Other Persons	46 U.S.C. 70041(d)(1)(D); 33 CFR 27.3	1990	$5,911
Oil/Hazardous Substances: Discharges (Class I per violation)	33 U.S.C. 1321(b)(6)(B)(i); 33 CFR 27.3	1990	$23,647
Oil/Hazardous Substances: Discharges (Class I total under paragraph)	33 U.S.C. 1321(b)(6)(B)(i); 33 CFR 27.3	1990	$59,114
Oil/Hazardous Substances: Discharges (Class II per day of violation)	33 U.S.C. 1321(b)(6)(B)(ii); 33 CFR 27.3	1990	$23,647
Oil/Hazardous Substances: Discharges (Class II total under paragraph)	33 U.S.C. 1321(b)(6)(B)(ii); 33 CFR 27.3	1990	$295,564
Oil/Hazardous Substances: Discharges (per day of violation) Judicial Assessment	33 U.S.C. 1321(b)(7)(A); 33 CFR 27.3	1990	$59,114

Penalty	Authority	Year Enacted	Adjusted New Penalty
Oil/Hazardous Substances: Discharges (per barrel of oil or unit discharged) Judicial Assessment	33 U.S.C. 1321(b)(7)(A); 33 CFR 27.3	1990	$2,365
Oil/Hazardous Substances: Failure to Carry Out Removal/Comply With Order (Judicial Assessment)	33 U.S.C. 1321(b)(7)(B); 33 CFR 27.3	1990	$59,114
Oil/Hazardous Substances: Failure to Comply with Regulation Issued Under 1321(j) (Judicial Assessment)	33 U.S.C. 1321(b)(7)(C); 33 CFR 27.3	1990	$59,114
Oil/Hazardous Substances: Discharges, Gross Negligence (per barrel of oil or unit discharged) Judicial Assessment	33 U.S.C. 1321(b)(7)(D); 33 CFR 27.3	1990	$7,093
Oil/Hazardous Substances: Discharges, Gross Negligence—Minimum Penalty (Judicial Assessment)	33 U.S.C. 1321(b)(7)(D); 33 CFR 27.3	1990	$236,451
Marine Sanitation Devices; Operating	33 U.S.C. 1322(j); 33 CFR 27.3	1972	$9,956
Marine Sanitation Devices; Sale or Manufacture	33 U.S.C. 1322(j); 33 CFR 27.3	1972	$26,543
International Navigation Rules; Operator	33 U.S.C. 1608(a); 33 CFR 27.3	1980	$18,610
International Navigation Rules; Vessel	33 U.S.C. 1608(b); 33 CFR 27.3	1980	$18,610
Pollution from Ships; General	33 U.S.C. 1908(b)(1); 33 CFR 27.3	1980	$93,058
Pollution from Ships; False Statement	33 U.S.C. 1908(b)(2); 33 CFR 27.3	1980	$18,610
Inland Navigation Rules; Operator	33 U.S.C. 2072(a); 33 CFR 27.3	1980	$18,610
Inland Navigation Rules; Vessel	33 U.S.C. 2072(b); 33 CFR 27.3	1980	$18,610
Shore Protection; General	33 U.S.C. 2609(a); 33 CFR 27.3	1988	$65,653
Shore Protection; Operating Without Permit	33 U.S.C. 2609(b); 33 CFR 27.3	1988	$26,262
Oil Pollution Liability and Compensation	33 U.S.C. 2716a(a); 33 CFR 27.3	1990	$59,114
Clean Hulls; Civil Enforcement	33 U.S.C. 3852(a)(1)(A); 33 CFR 27.3	2010	$54,124
Clean Hulls; False statements	33 U.S.C. 3852(a)(1)(A); 33 CFR 27.3	2010	$72,164
Clean Hulls; Recreational Vessel	33 U.S.C. 3852(c); 33 CFR 27.3	2010	$7,217
Hazardous Substances, Releases Liability, Compensation (Class I)	42 U.S.C. 9609(a); 33 CFR 27.3	1986	$71,545
Hazardous Substances, Releases Liability, Compensation (Class II)	42 U.S.C. 9609(b); 33 CFR 27.3	1986	$71,545
Hazardous Substances, Releases Liability, Compensation (Class II subsequent offense)	42 U.S.C. 9609(b); 33 CFR 27.3	1986	$214,637
Hazardous Substances, Releases, Liability, Compensation (Judicial Assessment)	42 U.S.C. 9609(c); 33 CFR 27.3	1986	$71,545
Hazardous Substances, Releases, Liability, Compensation (Judicial Assessment subsequent offense)	42 U.S.C. 9609(c); 33 CFR 27.3	1986	$214,637
Safe Containers for International Cargo	46 U.S.C. 80509; 33 CFR 27.3	2006	$7,820
Suspension of Passenger Service	46 U.S.C. 70305; 33 CFR 27.3	2006	$78,210
Vessel Inspection or Examination Fees	46 U.S.C. 2110(e); 33 CFR 27.3	1990	$11,823
Alcohol and Dangerous Drug Testing	46 U.S.C. 2115; 33 CFR 27.3	1998	$9,624
Negligent Operations: Recreational Vessels	46 U.S.C. 2302(a); 33 CFR 27.3	2002	$8,705
Negligent Operations: Other Vessels	46 U.S.C. 2302(a); 33 CFR 27.3	2002	$43,527
Operating a Vessel While Under the Influence of Alcohol or a Dangerous Drug	46 U.S.C. 2302(c)(1); 33 CFR 27.3	1998	$9,624
Vessel Reporting Requirements: Owner, Charterer, Managing Operator, or Agent	46 U.S.C. 2306(a)(4); 33 CFR 27.3	1984	$14,988
Vessel Reporting Requirements: Master	46 U.S.C. 2306(b)(2); 33 CFR 27.3	1984	$2,998
Immersion Suits	46 U.S.C. 3102(c)(1); 33 CFR 27.3	1984	$14,988
Master Key Control System	46 U.S.C. 3106(d)	2022	$1,059
Inspection Permit	46 U.S.C. 3302(i)(5); 33 CFR 27.3	1983	$3,126
Vessel Inspection; General	46 U.S.C. 3318(a); 33 CFR 27.3	1984	$14,988
Vessel Inspection; Nautical School Vessel	46 U.S.C. 3318(g); 33 CFR 27.3	1984	$14,988

Penalty	Authority	Year Enacted	Adjusted New Penalty
Vessel Inspection; Failure to Give Notice in accordance with 3304(b)	46 U.S.C. 3318(h); 33 CFR 27.3	1984	$2,998
Vessel Inspection; Failure to Give Notice in accordance with 3309 (c)	46 U.S.C. 3318(i); 33 CFR 27.3	1984	$2,998
Vessel Inspection; Vessel ≥ 1600 Gross Tons	46 U.S.C. 3318(j)(1); 33 CFR 27.3	1984	$29,980
Vessel Inspection; Vessel <1600 Gross Tons	46 U.S.C. 3318(j)(1); 33 CFR 27.3	1984	$5,996
Vessel Inspection; Failure to Comply with 3311(b)	46 U.S.C. 3318(k); 33 CFR 27.3	1984	$29,980
Vessel Inspection; Violation of 3318(b)- 3318(f)	46 U.S.C. 3318(l); 33 CFR 27.3	1984	$14,988
List/count of Passengers	46 U.S.C. 3502(e); 33 CFR 27.3	1983	$312
Notification to Passengers	46 U.S.C. 3504(c); 33 CFR 27.3	1983	$31,252
Notification to Passengers; Sale of Tickets	46 U.S.C. 3504(c); 33 CFR 27.3	1983	$1,562
Copies of Laws on Passenger Vessels; Master	46 U.S.C. 3506; 33 CFR 27.3	1983	$625
Passenger Vessel Security and Safety; Daily Penalty & Maximum Penalty	46 U.S.C. 3507(h)(1)(A)	2010	Daily $26,481/ Maximum $52,962
Passenger Vessel Security and Safety; Crewmembers Crime Scene Preservation Training; Maximum Penalty	46 U.S.C. 3508(d)	2010	$52,962
Liquid Bulk/Dangerous Cargo	46 U.S.C. 3718(a)(1); 33 CFR 27.3	1983	$78,134
Uninspected Vessels	46 U.S.C. 4106; 33 CFR 27.3	1988	$13,132
Recreational Vessels (maximum for related series of violations)	46 U.S.C. 4311(b)(1); 33 CFR 27.3	2004	$413,388
Recreational Vessels; Violation of 4307(a)	46 U.S.C. 4311(b)(1); 33 CFR 27.3	2004	$8,267
Engine Cut-Off Switches; Violation of 4312(b), First Offense	46 U.S.C. 4311(c)	2021	$106
Engine Cut-Off Switches; Violation of 4312(b), Second Offense	46 U.S.C. 4311(c)	2021	$265
Engine Cut-Off Switches; Violation of 4312(b), Subsequent to Second Offense	46 U.S.C. 4311(c)	2021	$529
Recreational Vessels	46 U.S.C. 4311(d); 33 CFR 27.3	1983	$3,126
Uninspected Commercial Fishing Industry Vessels	46 U.S.C. 4507; 33 CFR 27.3	1988	$13,132
Abandonment of Barges	46 U.S.C. 4703; 33 CFR 27.3	1992	$2,224
Load Lines	46 U.S.C. 5116(a); 33 CFR 27.3	1986	$14,308
Load Lines; Violation of 5112(a)	46 U.S.C. 5116(b); 33 CFR 27.3	1986	$28,619
Load Lines; Violation of 5112(b)	46 U.S.C. 5116(c); 33 CFR 27.3	1986	$14,308
Reporting Marine Casualties	46 U.S.C. 6103(a); 33 CFR 27.3	1996	$49,848
Reporting Marine Casualties; Violation of 6104	46 U.S.C. 6103(b); 33 CFR 27.3	1988	$13,132
Manning of Inspected Vessels; Failure to Report Deficiency in Vessel Complement	46 U.S.C. 8101(e); 33 CFR 27.3	1990	$2,365
Manning of Inspected Vessels	46 U.S.C. 8101(f); 33 CFR 27.3	1990	$23,647
Manning of Inspected Vessels; Employing or Serving in Capacity not Licensed by USCG	46 U.S.C. 8101(g); 33 CFR 27.3	1990	$23,647
Manning of Inspected Vessels; Freight Vessel <100 GT, Small Passenger Vessel, or Sailing School Vessel	46 U.S.C. 8101(h); 33 CFR 27.3	1983	$3,126
Watchmen on Passenger Vessels	46 U.S.C. 8102(a)	1983	$3,126
Citizenship Requirements	46 U.S.C. 8103(f)	1983	$1,562
Watches on Vessels; Violation of 8104(a) or (b)	46 U.S.C. 8104(i)	1990	$23,647
Watches on Vessels; Violation of 8104(c), (d), (e), or (h)	46 U.S.C. 8104(j)	1990	$23,647
Employing Qualified Available U.S. Citizens or Residents	46 U.S.C. 8106(f)(2)-(3)	2006	Daily $10,592/ Maximum $105,923
Staff Department on Vessels	46 U.S.C. 8302(e)	1983	$312
Officer's Competency Certificates	46 U.S.C. 8304(d)	1983	$312
Coastwise Pilotage; Owner, Charterer, Managing Operator, Agent, Master or Individual in Charge	46 U.S.C. 8502(e)	1990	$23,647

Penalty	Authority	Year Enacted	Adjusted New Penalty
Coastwise Pilotage; Individual	46 U.S.C. 8502(f)	1990	$23,647
Federal Pilots	46 U.S.C. 8503	1984	$74,943
Merchant Mariners Documents	46 U.S.C. 8701(d)	1983	$1,562
Crew Requirements	46 U.S.C. 8702(e)	1990	$23,647
Small Vessel Manning	46 U.S.C. 8906	1996	$49,848
Pilotage: Great Lakes; Owner, Charterer, Managing Operator, Agent, Master or Individual in Charge	46 U.S.C. 9308(a)	1990	$23,647
Pilotage: Great Lakes; Individual	46 U.S.C. 9308(b)	1990	$23,647
Pilotage: Great Lakes; Violation of 9303	46 U.S.C. 9308(c)	1990	$23,647
Requirement to Report Sexual Assault and Harassment; Mandatory Reporting by Responsible Entity of a Vessel	46 U.S.C. 10104(a)(2)	2022	$52,962
Requirement to Report Sexual Assault and Harassment; Company After Action Summary, violation of 10104(d)(1)	46 U.S.C. 10104(d)(2)	2022	$26,481
Requirement to Report Sexual Assault and Harassment; Company After Action Summary, daily noncompliance penalty	46 U.S.C. 10104(d)(2)	2022	$529
Requirement to Report Sexual Assault and Harassment; Company After Action Summary, Civil Penalty Maximum	46 U.S.C. 10104(d)(2)	2022	$52,962
Pay Advances to Seamen	46 U.S.C. 10314(a)(2)	1983	$1,562
Pay Advances to Seamen; Remuneration for Employment	46 U.S.C. 10314(b)	1983	$1,562
Allotment to Seamen	46 U.S.C. 10315(c)	1983	$1,562
Seamen Protection; General	46 U.S.C. 10321	1993	$10,831
Coastwise Voyages: Advances	46 U.S.C. 10505(a)(2)	1993	$10,831
Coastwise Voyages: Advances; Remuneration for Employment	46 U.S.C. 10505(b)	1993	$10,831
Coastwise Voyages: Seamen Protection; General	46 U.S.C. 10508(b)	1993	$10,831
Effects of Deceased Seamen	46 U.S.C. 10711	1983	$625
Complaints of Unfitness	46 U.S.C. 10902(a)(2)	1983	$1,562
Proceedings on Examination of Vessel	46 U.S.C. 10903(d)	1983	$312
Permission to Make Complaint	46 U.S.C. 10907(b)	1983	$1,562
Accommodations for Seamen	46 U.S.C. 11101(f)	1983	$1,562
Medicine Chests on Vessels	46 U.S.C. 11102(b)	1983	$1,562
Destitute Seamen	46 U.S.C. 11104(b)	1983	$312
Wages on Discharge	46 U.S.C. 11105(c)	1983	$1,562
Log Books; Master Failing to Maintain	46 U.S.C. 11303(a)	1983	$625
Log Books; Master Failing to Make Entry	46 U.S.C. 11303(b)	1983	$625
Log Books; Late Entry	46 U.S.C. 11303(c)	1983	$469
Carrying of Sheath Knives	46 U.S.C. 11506	1983	$157
Vessel Documentation	46 U.S.C. 12151(a)(1)	2012	$20,468
Documentation of Vessels; Related to Activities involving mobile offshore drilling units	46 U.S.C. 12151(a)(2)	2012	$34,116
Vessel Documentation; Fishery Endorsement	46 U.S.C. 12151(c)	2006	$156,422
Numbering of Undocumented Vessel; Willful violation	46 U.S.C. 12309(a)	1983	$15,628
Numbering of Undocumented Vessels	46 U.S.C. 12309(b)	1983	$3,126
Vessel Identification System	46 U.S.C. 12507(b)	1988	$26,262
Measurement of Vessels	46 U.S.C. 14701	1986	$57,238
Measurement; False Statements	46 U.S.C. 14702	1986	$57,238
Commercial Instruments and Maritime Liens	46 U.S.C. 31309	1988	$26,262
Commercial Instruments and Maritime Liens; Mortgagor	46 U.S.C. 31330(a)(2)	1988	$26,262

Penalty	Authority	Year Enacted	Adjusted New Penalty
Commercial Instruments and Maritime Liens; Violation of 31329	46 U.S.C. 31330(b)(2)	1988	$65,653
Vessel Escort Operations and Towing Assistance	46 U.S.C. 55112(d); 33 CFR 27.3	2002	$10,592
Regulation of Vessels in Territorial Waters of the United States	46 U.S.C. 70052(c)	2018	$26,481
Port Security	46 U.S.C. 70119(a)	2002	$43,527
Port Security; Continuing Violations	46 U.S.C. 70119(b)	2006	$78,210
Maritime Drug Law Enforcement; Penalties	46 U.S.C. 70506	2010	$7,217
Hazardous Materials: Related to Vessels Maximum Penalty	49 U.S.C. 5123(a)(1)	2012	$102,348
Hazardous Materials: Related to Vessels; Penalty from Fatalities, Serious Injuries/ Illness or substantial Damage to Property	49 U.S.C. 5123(a)(2)	2012	$238,809
Hazardous Materials: Related to Vessels; Training	49 U.S.C. 5123(a)(3)	2012	$617
ICE			
Violation of INA sections 274C(a)(1)–(a)(4) (First offense)	8 CFR 270.3(b)(1)(ii)(A)	1990	Minimum $590 Maximum $4,730
Violation of INA sections 274C(a)(5)–(a)(6) (First offense)	8 CFR 270.3(b)(1)(ii)(B)	1996	Minimum $500 Maximum $3,988
Violation of INA sections 274C(a)(1)–(a)(4) (Subsequent offenses)	8 CFR 270.3(b)(1)(ii)(C)	1990	Minimum $4,730 Maximum $11,823
Violation of INA sections 274C(a)(5)–(a)(6) (Subsequent offenses)	8 CFR 270.3(b)(1)(ii)(D)	1996	Minimum $3,988 Maximum $9,970
Violation/prohibition of indemnity bonds	8 CFR 274a.8(b)	1986	$2,861
Knowingly hiring, recruiting, referral, or retention of unauthorized aliens (per unauthorized alien) (First offense)	8 CFR 274a.10(b)(1)(ii)(A)	1986	Minimum $716 Maximum $5,724
Knowingly hiring, recruiting, referral, or retention of unauthorized aliens (per unauthorized alien) (Second offense)	8 CFR 274a.10(b)(1)(ii)(B)	1986	Minimum $5,724 Maximum $14,308
Knowingly hiring, recruiting, referral, or retention of unauthorized aliens (per unauthorized alien) (Subsequent offenses)	8 CFR 274a.10(b)(1)(ii)(C)	1986	Minimum $8,586 Maximum $28,619
I–9 paperwork violations	8 CFR 274a.10(b)(2)	1986	Minimum $288 Maximum $2,861
Failure to depart voluntarily	8 U.S.C. 1229c(d); 8 CFR 280.53(b)(3)	1996	Minimum $1,992 Maximum $9,970
Failure to depart	8 U.S.C. 1324(d); 8 CFR 280.53(b)(14)	1996	$998
TSA			
Violation of 49 U.S.C. ch. 449 (except secs. 44902, 44903(d), 44907(a)-(d)(1)(A), 44907(d)(1)(C)-(f), 44908, and 44909), or 49 U.S.C. 46302 or 46303, a regulation prescribed, or order issued thereunder by a person operating an aircraft for the transportation of passengers or property for compensation	49 U.S.C. 46301(a)(1), (4), (5), (6); 49 U.S.C. 46301(d) (2), (8); 49 CFR 1503.401(c)(3)	1994	$42,657 (up to a total of $682,509 per civil penalty action).
Violation of 49 U.S.C. ch. 449 (except secs. 44902, 44903(d), 44907(a)-(d)(1)(A), 44907(d)(1)(C)-(f), 44908, and 44909), or 49 U.S.C. 46302 or 46303, a regulation prescribed, or order issued thereunder by an individual (except an airman serving as an airman), any person not operating an aircraft for the transportation of passengers or property for compensation, or a small business concern	49 U.S.C. 46301(a)(1), (4), (5); 49 U.S.C. 46301(d)(8); 49 CFR 1503.401(c)	1994	$17,062 (up to a total of $85,314 for individuals or small businesses, $682,509 for others).
Violation of any other provision of title 49 U.S.C. or of 46 U.S.C. ch. 701, a regulation prescribed, or order issued under thereunder	49 U.S.C. 114(u); 49 CFR 1503.401(b)	2009	$14,602 (up to a total of $73,011 for individuals and small businesses, $584,078 for others)

OTHER KEY REGULATORY REQUIREMENTS

Prompt Payment Act

The *Prompt Payment Act of 1982* (PPA) (P.L. 97-177) requires federal agencies to make timely payments (within 30 days of receipt of invoice) to vendors for supplies and services, to pay interest penalties when payments are made after the due date, and to take cash discounts only when they are economically justified. FFMIA mandates that agencies have financial management systems that produce accurate, reliable, and timely financial information for their managers and the public. OMB Circular A-123, *Management's Responsibility for Enterprise Risk Management and Internal Control*, provides guidance to federal agencies on establishing, assessing, and reporting on internal controls. The PPA's mandate for timely payments and penalties for late payments is a specific and critical mechanism that helps achieve the broader goals of the FFMIA. Components submit PPA data to the Department quarterly and conduct periodic reviews to identify potential problems. The Department reports the data through the designated system. FFMIA and OMB A-123 establish the framework of internal controls and financial systems that enable the Department to follow the specific payment rules established by the PPA.

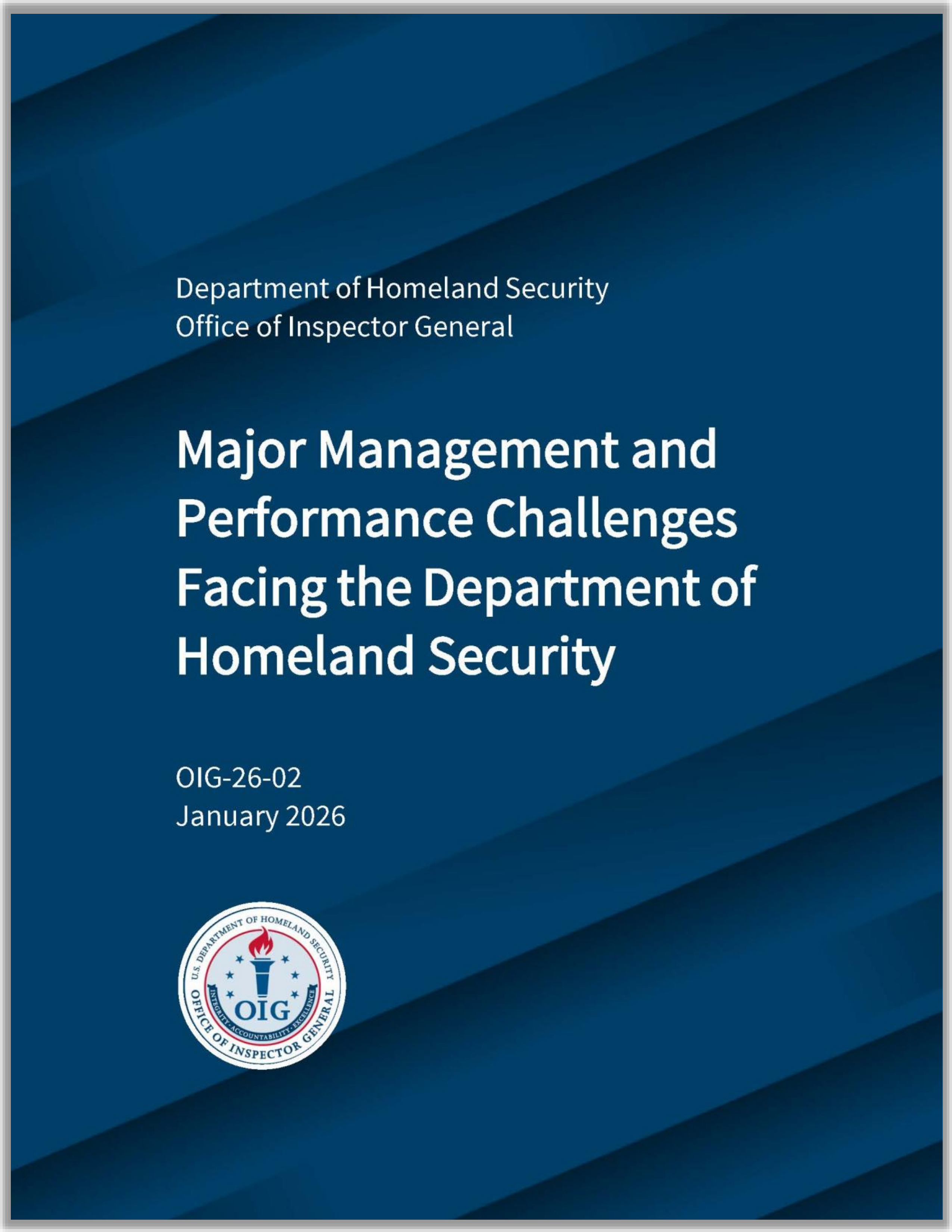
Debt Collection Improvement Act

The *Debt Collection Improvement Act* (DCIA), passed as part of the *Omnibus Consolidated Rescissions and Appropriations Act of 1996* (P.L. 104-134), tasked Treasury with certain governmentwide debt collection responsibilities. Among other things, the law provides that delinquent non-tax debts generally must be turned over to the Treasury for appropriate action to collect the debt. Certain types of debts are exempt from this requirement. In compliance with DCIA, the Department manages its debt collection activities under the DHS DCIA regulation. The regulation is implemented under the Department's comprehensive debt collection policies that provide guidance to the Components on the administrative collection of debt; referring non-taxable debt; writing off non-taxable debt; reporting debt to consumer reporting agencies; assessing interest, penalties, and administrative costs; and reporting receivables to the Treasury. The *Digital Accountability and Transparency Act of 2014* (P.L. 113-101) updated DCIA requirements for referring non-taxable debt.

Financial Reporting Legislation

The Department has performed a comprehensive analysis of new legislation that has impacted the Department's financial accounting, financial reporting, or auditing. For FY 2025, DHS has been significantly impacted by non-recurring, non-routine provisions of the *One Big Beautiful Bill Act* (P.L. 119-21), enacted in 2025. This Act is available at: https://www.congress.gov/119/plaws/publ21/PLAW-119publ21.pdf. This Act provides over $191 billion in funding over the next five fiscal years. This funding will be used to strengthen DHS's core missions, including enhancing border infrastructure, immigration enforcement, maritime and aviation readiness, training and workforce modernization, and interagency coordination.

OIG'S REPORT ON MAJOR MANAGEMENT AND PERFORMANCE CHALLENGES AND MANAGEMENT'S RESPONSE



Department of Homeland Security
Office of Inspector General

Major Management and Performance Challenges Facing the Department of Homeland Security

OIG-26-02
January 2026

OFFICE OF INSPECTOR GENERAL
U.S. Department of Homeland Security
Washington, DC 20528 | www.oig.dhs.gov

January 9, 2026

MEMORANDUM FOR: The Honorable Kristi Noem
Secretary
Department of Homeland Security

FROM: Joseph V. Cuffari, Ph.D.
Inspector General

JOSEPH V CUFFARI
Digitally signed by JOSEPH V CUFFARI
Date: 2026.01.09 16:41:22 -07'00'

SUBJECT: Major Management and Performance Challenges Facing the Department of Homeland Security

The Office of Inspector General supports the Department of Homeland Security's mission by conducting investigations, audits, evaluations, and inspections on behalf of the American public. The Reports Consolidation Act of 2000[1] requires OIG to complete an annual report on what it determines to be the top management challenges facing the Department. These challenges highlight the need for enhanced management attention to ensure the effective operation of Department programs and the advancement of its strategic goals.

The 2025 Major Management and Performance Challenges report focuses on challenges related to fragmentation of key mission areas and overlap of programs and resources. We identified three main challenges in the areas of fragmented hiring processes, financial stewardship, and information management and security as well as two critical issues in screening and vetting and transportation security. Twenty years after DHS' establishment, persistent silos amongst DHS operational components still exist and foster resource duplication and inconsistent outcomes across the DHS enterprise.

The challenges outlined in this report are based on our judgment and independent research, including discussions with internal and Department component Senior Leaders. We also considered prior audit, inspection, and investigative oversight work, our analyses of data and risks, Congressional testimony, U.S. Government Accountability Office reports, and the Department's Strategic Plan and annual performance reports.

[1] *Reports Consolidation Act of 2000*, Public Law 106-531, Nov. 22, 2000.

These challenges are not wholly representative of the vulnerabilities confronting the Department. We publish reports throughout the year that highlight specific opportunities to improve programs and operations. We remain committed to conducting independent oversight and making recommendations to help the Department address these major management and performance challenges and ensure the effectiveness of its operations.

Consistent with our responsibility under the Inspector General Act of 1978, as amended, we will provide copies of our report to congressional committees with oversight and appropriation responsibility over the Department. We will post the report on our website for public dissemination.

Please contact me with any questions, or your staff may contact Chief of Staff, Dustin Razsi, at (202) 981-6201.

Attachment

Office of Inspector General
U.S. Department of Homeland Security | Washington, DC 20528 | www.oig.dhs.gov

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OIG-26-02

Introduction

The Department of Homeland Security, Office of the Inspector General is required by statute to produce the Major Management and Performance Challenges report (MMPC) each year.[2] The MMPC identifies the challenges facing DHS, summarizes the most pressing challenges, and assesses the Department's progress in addressing such challenges. The MMPC is based on OIG's independent research, assessment of our prior oversight, interviews, and professional judgment. For fiscal year 2025, DHS OIG identified $8,148,905,859 in questioned costs and $1,539,250,951 in funds put to better use, resulting in a return on investment of $44.02 for every $1 spent on DHS OIG.

When DHS was created, it brought together a collection of existing agencies that had long operated independently. More than two decades later, many of these components still function separately, rather than as parts of a unified Department with one overarching mission. This independence has led to fragmentation within the Department, where responsibility for key mission areas is divided among multiple components with limited coordination. It has also resulted in overlap, where different components pursue similar goals, activities, and strategies to address the same national priorities. Together, fragmentation and overlap reduce efficiency, blur accountability, and strain resources. By fostering greater cohesion across its components, DHS can strengthen collaboration, eliminate duplication, and achieve greater impact and cost-effectiveness in delivering its mission.

In this 2025 MMPC, we focus on three major challenge areas where divided responsibilities and duplicated efforts have hindered DHS' ability to operate as one cohesive Department. Each component has a unique mission and must retain some flexibility to meet its specific operational needs. However, this decentralized structure also creates barriers, slowing the Department's capacity to drive timely change, realign with leadership priorities, manage risk across the DHS enterprise, and respond swiftly and collaboratively to emerging challenges.

[2] *Reports Consolidation Act of 2000*, Public Law 106-531, Nov. 22, 2000.

Strong management functions are essential to delivering operational success across the Department. By harnessing, coordinating, and aligning hiring, financial resources, and information management, DHS will be able to better coordinate and align its operations, improve effectiveness, and serve the American people. This year, we focused on three major challenge areas with fragmentation and overlap that are summarized below and identified two critical issues in screening and vetting and transportation security at the end of the report.

Fragmented Hiring Processes:

Human capital challenges span the entire spectrum of the Department's mission and are exacerbated by fragmented hiring processes. Mission success hinges on deploying the right number of well-trained people with the appropriate technology in the right place at the right time. Without astute Department-centric workforce planning, these efforts could be less than successful.

Financial Stewardship:

Sound financial stewardship becomes an increasingly critical function with the enactment of the law referred to as the One Big Beautiful Bill Act (OBBBA).[3] However, U.S. Government Accountability Office (GAO) has included the Department on its High-Risk List for financial management since its inception in 2003. Without interconnected financial systems, thoughtful spend plans, and robust internal controls, the increased funding is at risk of ineffective management and execution.

Information Management and Security:

DHS personnel handle sensitive information around the globe, including at ports of entry, regional offices, and attaché offices overseas. Having unified, strong Information Technology (IT) systems oversight is critical to ensuring the timely identification and remediation of threats and protecting DHS' critical information. The ever-changing cyber threat landscape will heighten risks of data breaches, unauthorized access, and system vulnerabilities if proper safeguards are not in place across the Department.

[3] *Public Law 119-21*, July 4, 2025.

Challenge 1

Fragmented Hiring Processes

DHS faces ongoing human capital challenges that are intensified by fragmented hiring processes across the Department. Each component independently manages its own recruitment, qualification standards, and onboarding procedures, resulting in inconsistent and often duplicative approaches. This lack of coordination prevents DHS from functioning as a single employer and slows efforts to fill critical positions in law enforcement, cybersecurity, and IT. The situation is further complicated by new funding under the OBBBA, which supports growth in law enforcement and support personnel at Immigration and Customs Enforcement (ICE), Customs and Border Protection (CBP), and the United States Secret Service (USSS).[4] This increase in funding heightens internal competition among components for the same talent pools. At the same time, DHS competes externally with the private sector and other levels of government for cybersecurity and IT professionals, while also contending with pay disparities, departmental budget limitations, and a shortage of qualified cybersecurity candidates.[5] The Department's decentralized hiring approach limits its ability to attract, hire, and retain the skilled workforce necessary to meet its mission needs.

Fragmented Law Enforcement Officer Hiring

There is overlapping, competitive, law enforcement hiring among ICE, CBP, and USSS. These competing interests can undermine the hiring process when conducted without department-wide planning. Law enforcement hiring will endure additional stresses in the coming years due to the OBBBA, which funds an increase in departmental law enforcement personnel.

In addition, the former CBP Commissioner testified to Congress in April 2024 that there will be an increase in the number of CBP law enforcement personnel eligible to retire in FY 2028, later confirmed to be a 340 percent increase by CBP, further complicating hiring requirements. The former Commissioner explained that CBP will need to over-hire in FY 2026 and FY 2027 to mitigate the impact of the projected attrition spike in 2028.[6]

[4] *Public Law 119-21*, See Sections 90002 and 100052, July 4, 2025.
[5] *Cybersecurity Workforce: Departments Need to Fully Implement Key Practices*, GAO-25-106795, Jan. 16, 2025.
[6] *Budget Hearing – Fiscal Year 2025 Request for Customs and Border Protection*, at 50 to 52 minutes, Apr. 30, 2024.

The Department's Federal law enforcement officer[7] hiring is further complicated by inconsistent vetting requirements and application processes[8] across components. While some variation is necessary to meet component-specific missions, even similar law enforcement positions often follow different hiring standards. Although all positions share basic requirements such as citizenship, background checks, and medical examinations, components differ in areas like polygraph and entrance exams, acceptance of medical and security clearances from other components, and age requirements. These inconsistencies make it difficult to implement a more centralized, efficient hiring process, resulting in duplication of effort, higher costs, and slower onboarding across the Department.

Inconsistent DHS Cybersecurity, IT, and AI Workforce Hiring

The Department has persistent difficulties recruiting qualified cybersecurity, IT, and Artificial Intelligence (AI) personnel. These challenges are especially acute for AI-skilled personnel. DHS OIG found that DHS Office of Intelligence and Analysis and the U. S. Coast Guard (USCG) are experiencing administrative challenges that relate to recruiting personnel with AI-related skillsets, which may delay future efforts to adopt, acquire, and develop AI for intelligence collection and analysis.[9] These challenges are magnified by inconsistent hiring practices across components, pay disparities with the private sector, and complex clearance requirements.

The Department launched its Cybersecurity Talent Management System (CTMS) in 2021 as an attempt to mitigate some of these challenges. CTMS launched with a slow and limited scope rollout that only covered certain components. While CTMS was estimated to fill more than 2,000 vacancies, total hiring numbers were in the hundreds. As a result, Congress rescinded "over $50 million [in FY 2022 funds] because of how slow hiring" had been at the Cybersecurity and Infrastructure Security Agency (CISA).[10] These issues were echoed in a 2024 hearing where leadership stated that the CTMS hiring rate was "slower than expected" and rollout delays hindered the Department's ability to close its cyber workforce gaps.[11]

[7]These positions are eligible for enhanced benefits. Law enforcement officer is defined under the Civil Service Retirement System as an employee "whose primary duties are the investigation or detention of individuals suspected or convicted of offenses against the criminal laws of the United States," and under the Federal Employees' Retirement System also includes employees whose primary duties are the protection of officials of the United States against threats to personal safety. See *Retirement Benefits for Federal Law Enforcement Personnel*, Congressional Research Service, R42631, Aug. 8, 2024.

[8]*DHS Law Enforcement Eligibility Requirements*, last updated May 8, 2025; *DHS Hiring: Additional Actions Needed to Enhance Vetting Processes Across the Department*, GAO-24-106153, June 11, 2024.

[9]*DHS Initiated Efforts to Use Artificial Intelligence to Improve Intelligence Collection and Analysis*, OIG-25-06, Dec.16, 2024.

[10]*Homeland Security Hearing, A Review of the Fiscal Year 2024 Request for the Department of Homeland Security*, Apr. 19, 2023.

[11]*Finding 500,000: Addressing America's Cyber Workforce Gap, House Homeland Security Committee Hearing*, June 26, 2024.

CISA's Cyber Incentive Program offers two retention incentives for eligible cyber employees who would otherwise be likely to leave Federal service for higher pay in the private sector. These incentives include a 10 percent group incentive based on position duties aligned with the National Institute of Standards and Technology's *Workforce Framework for Cyber Security*, and a 20 or 25 percent individual incentive based on how an employee's certifications align with CISA's approved certification list. OIG found that CISA "did not properly design, implement, or manage" its program, paid ineligible employees, and did not maintain records.[12]

Ineligible CISA employees received payments because CISA lacked adequate controls to verify eligibility and the Department (specifically the Office of Chief Human Capital Officer as the CTMS owner) did not provide adequate oversight and guidance. CISA broadened program requirements instead of focusing on retaining the employees with unusually high or unique qualifications in mission critical cyber positions, resulting in the program's funds not being used efficiently or effectively.

Across the Federal Government, there is a "severe shortage" of staff with AI expertise, a gap that GAO warns is compounded by uncompetitive Federal salaries and slow hiring processes.[13] The 2025 White House AI Action Plan reinforces the importance of quickly building strong AI and technical workforce capability across government.[14] The Plan also emphasizes the importance of aligning workforce strategies with broader Federal modernization goals. Centralizing hiring functions could reduce redundant costs, streamline applicant processing, and better align the Department with the AI Action Plan's vision for an agile, AI-ready workforce.

Centralized Hiring Efforts

To meet its recruiting goals, the Department has conducted centralized Career Expos where multiple components are present to review resumes, conduct interviews, and extend tentative job offers to qualified candidates on site. Successful candidates initiated the security clearance process within hours of receiving an offer. Additionally, ICE has focused on hiring prior law enforcement personnel to leverage recruits who have already undergone security background checks, leading to fewer problems and faster processing of applicants. The Department held virtual and in-person Expos in June, August, and September 2025. In a June 2025 interview, a Senior DHS Official said the June Expo generated 1,000 job offers.

[12] *CISA Mismanaged Cybersecurity Retention Incentive Program and Wasted Funds, Risking Critical Talent Retention*, OIG-25-38, Sept. 11, 2025.
[13] *Fraud and Improper Payments: Data Quality and a Skilled Workforce Are Essential for Unlocking the Benefits of Artificial Intelligence;* GAO-25-108412, Apr. 9, 2025.
[14] *Winning the Race: America's AI Action Plan*, White House, July 24, 2025.

Also, the Department has made progress using the DHS Cybersecurity Service portal to centralize and better process certain cyber hiring. Although there has been some success using CTMS, the Department continuously improves it in partnership with hiring managers to make it a more effective tool.[15] These centralized hiring efforts are a step in the right direction. However, it is unclear that these hiring efforts are sufficient to meet the hiring surges required by the OBBBA or keep pace with evolving Department needs as AI and machine learning are integrated into all operations. Since previous hiring surges did not achieve intended outcomes, DHS should pivot to more successful recruitment methods.[16]

While the Career Expos show progress in recruitment practices, a centralized approach to filling common component positions could reduce duplication. For example, centralized hiring processes and standardized requirements for law enforcement positions would make it easier for components to successfully utilize law enforcement personnel across the Department. Without this, components struggle to hire appropriately skilled and trained staff. DHS OIG found that USSS relied on personnel from other DHS components due to chronic understaffing of its own snipers. Additionally, some USSS counter snipers did not meet mandatory weapons requalification requirements.[17]

[15] *Finding 500,000: Addressing America's Cyber Workforce Gap*, House Homeland Security Committee Hearing, June 26, 2024; see also *Statement of Eric Hysen, Chief Information Officer and Chief Artificial Intelligence Officer U.S. Department of Homeland Security*.

[16] *Management Alert - CBP Needs to Address Serious Performance Issues on the Accenture Hiring Contract*, OIG-19-13, Dec. 6, 2018; *Homeland Security: Actions Needed to Address Longstanding Gaps in Human Resources IT*, GAO-25-107233, Sept. 2025; *Special Report: Challenges Facing DHS in Its Attempt to Hire 15,000 Border Patrol Agents and Immigration Officers*, OIG-17-98 SR, July 27, 2017; *DHS is Slow to Hire Law Enforcement Personnel*, OIG-17-05, Oct. 30, 2016.

[17] *The Secret Service's Counter Sniper Team Is Not Staffed to Meet Mission Requirements* (REDACTED), OIG-25-37 Aug. 29, 2025.

Challenge 2

Financial Stewardship

DHS' financial management functions remain highly decentralized, with components operating largely independent financial systems and processes. This fragmentation limits the Department's ability to manage resources strategically and consistently across the enterprise, a challenge that will intensify under the OBBBA. The 2025 legislation provides a significant funding increase of more than $190 billion through September 30, 2029. The Congressional Budget Office (CBO) estimates approximately $168 billion over 10 years is dedicated solely to immigration and border security programs. Strengthening department-wide financial integration and oversight will be critical to ensuring this unprecedented funding is used efficiently, transparently, and in alignment with mission priorities.

The sheer scale and rapid pace of spending envisioned under the OBBBA may overwhelm the Department's existing capacity in areas like contracting, hiring, grant oversight, and project management. The Department experienced a similar situation when the Federal Emergency Management Agency (FEMA) used approximately $98 billion it received for COVID-19 and additional disaster relief funding to provide Federal assistance to states, territories, tribes, and individuals. Our current work identified FEMA did not prevent more than 13 percent, or $13.5 billion, of COVID-19 funding from being wasted on ineligible recipients and unallowable and unsupported costs. ICE and CBP may not meet hiring goals without proper plans and controls in place. The CBO noted significant uncertainty regarding how quickly CBP can construct border barriers and facilities with OBBBA funds. Outlays could differ considerably from projections based on factors like contractor availability, permitting delays, and land acquisition pace. Similarly, ICE's enforcement and detention funding under the OBBBA represents a substantial increase over prior budgets. Historically, significant funding increases can take years to translate into operational outputs, potentially leading to accumulated unspent balances if planning lags. The Department will need to implement exceptionally rigorous and coordinated spend plans across all components to avoid such pitfalls.

Legacy and Siloed Systems

The Department faces persistent challenges in achieving unified financial stewardship due to its decentralized structure.[18] GAO has consistently highlighted the need for financial systems modernization as a reason the Department has remained on GAO's High-Risk List for financial management.[19] Despite evident leadership commitment and the existence of corrective action plans, the lack of standardization across components continues to impede unified oversight and streamlined reporting. This structural weakness is particularly concerning given significant OBBBA funding, which includes major cross- component investments in areas such as border security, cybersecurity, and AI capabilities.

The Department's IT infrastructure does not meet Federal Financial Management Improvement Act requirements. Legacy systems lack full compliance with Federal accounting standards and financial system requirements, and do not always employ a standard general ledger at the transaction level.[20] Fragmented financial databases and the absence of uniform, real- time data tracking make reliable aggregation and analysis of department-wide spending difficult. To combat these challenges, the Department is undertaking a multi-year financial systems modernization initiative to upgrade core accounting systems, but progress has been slow. Similarly, FEMA continues to rely on six separate finance, procurement, and grants management systems. FEMA is currently on track to replace most of these systems with a modern enterprise resource planning system in FY 2027. The Department's full implementation of its Financial Systems Modernization initiative is projected to take until the end of the decade, leaving it vulnerable to execution and oversight challenges in the near term.

[18] *Independent Auditors' Report on the Department of Homeland Security's Consolidated Financial Statements for FYs 2023 and 2022 and Internal Control over Financial Reporting*, OIG-24-06, Nov. 13, 2023.
[19] *DHS Financial Management: Actions Needed to Improve Systems Modernization and Address Coast Guard Audit Issues*, GAO-23-105194, Feb. 28, 2023; *High-Risk Series: Heightened Attention Could Save Billions More and Improve Government Efficiency and Effectiveness*, GAO-25-107743, Feb. 25, 2025.
[20] *High-Risk Series: Heightened Attention Could Save Billions More and Improve Government Efficiency and Effectiveness*, GAO-25-107743, Feb. 25, 2025.

Gaps in Spend Planning and Internal Controls

The Department needs strong spend plans and internal controls to link its strategic plans to resource allocation and spending to manage the increased amount of funds in its upcoming budget. For example, a May 2024 GAO review revealed ICE components did not revise spending forecasts when new appropriations or major budget changes occurred. This led to outdated and incomplete expenditure data, hindering the ability of the Department and Congress to effectively oversee the utilization of funds. GAO recommended the Department and ICE clarify spend plan update policies and enforce compliance. In July 2024, ICE revised its guidance to require spend plan updates at key points, such as when new appropriations are passed, or mid-year adjustments occur.[21]

The OIG reported material weaknesses in the Department's financial reporting processes, including lacking consistent reviews of journal entries at certain components, financial disclosures, and component-level reporting. One material misstatement required correction, and OIG warned there is a reasonable possibility that other errors could go undetected.[22] As a result, the Department was noncompliant with Federal Managers' Financial Integrity Act[23] and Federal Financial Management Improvement Act,[24] which undermines confidence in the accuracy and timeliness of its financial statements.

The Department is aware of its budget execution challenges and has initiated efforts to address them. Leadership is committed to improving financial management and continues to update its high-risk corrective action plans and policies in response to GAO and OIG recommendations.[25] The Department has set a target of achieving a clean audit opinion on internal controls over financial reporting by FY 2028, a milestone that was previously delayed due to ongoing system overhauls.[26] Achieving this target would signify a much stronger control environment for tracking funds.

Given the increase of funds through the OBBBA, tracking budget execution in real time may prevent reoccurrences of past spend plan issues. The Department must also continue to address challenges with system modernization and internal controls to ensure efficient budget execution.

[21] *Financial Management: Additional Steps Needed to Improve ICE's Budget Projections and Execution*, GAO-24-106550, May 15, 2024.
[22] *Independent Auditors' Report on the Department of Homeland Security's FYs 2024 and 2023 Consolidated Financial Statements and Internal Control over Financial Reporting*, OIG-25-05, Nov.15, 2024.
[23] *Federal Managers' Financial Integrity Act of 1982*, P.L. 97-255, Sept. 8, 1982.
[24] *Omnibus Consolidated Appropriations Act, 1997*, P.L. 104-208, Division A; *Federal Financial Management Improvement Act of 1996*, Title VIII, Sept. 30, 1996; *High-Risk Series: Heightened Attention Could Save Billions More and Improve Government Efficiency and Effectiveness*, GAO-25-107743, Feb. 25, 2025.
[25] *Financial Management Systems: DHS Should Improve Plans for Addressing Its High-Risk Area and Guidance for Independent Reviews*, GAO-24-106895, July 30,2024.
[26] *High-Risk Series: Heightened Attention Could Save Billions More and Improve Government Efficiency and Effectiveness*, GAO-25-107743, Feb. 25, 2025.

Fragmented Approach to Risk

The Department continues to face significant challenges in establishing a mature, department-wide approach to risk management. A RAND study found the Department's institutional risk analysis capability remains at the "implementing" stage of maturity, with risk practices fragmented across components.[27] No common enterprise-wide methods or governance framework are in place though FEMA and CISA have developed more advanced risk models. RAND noted the Department lacks a central authority to standardize risk tools or tolerance levels, or train leaders in risk analysis, resulting in the inconsistent application of risk methodologies across missions. Similarly, the Organization for Economic Co-operation and Development (OECD), in its 2025 Emerging Risk Country Case Studies report,[28] observed that the Science and Technology Directorate's Emerging Risk and Technology Program is working on processes to identify emerging risks, but there is no "single office charged with comprehensive risk assessment at DHS." Both RAND and OECD note the absence of an enterprise-wide office or mechanism to integrate risk assessment across the Department which leaves it vulnerable to decision-making in silos.

RAND's recommendations, aimed at promoting consistency across components, include the development and publication of a unified risk management handbook, clear departmental risk tolerance standards, and mandatory risk training for senior executives.[29] OECD likewise highlighted that without integrated after-action reviews and clear lines of responsibility, risk prioritization will default to ad-hoc leadership direction rather than evidence-based enterprise governance.[30] Both entities credit the Department for adopting more flexible, cross-sector approaches, including scenario-agnostic planning and enhanced engagement with public and private partners. Nevertheless, RAND concludes that until the Department develops a cohesive enterprise framework with stronger governance and oversight structures, its risk management posture will continue to be reactive and fragmented.

[27] *Institutional Risk Analysis Maturity at the U. S. Department of Homeland Security*, RAND, Apr. 30, 2025.
[28] *Managing Emerging Critical Risks: Case Studies and Cross-Country Synthesis Report*, OECD (2025).
[29] *Institutional Risk Analysis Maturity at the U. S. Department of Homeland Security*, RAND, Apr. 30, 2025.
[30] *Managing Emerging Critical Risks: Case Studies and Cross-Country Synthesis Report*, OECD (2025).

Grant Allocation

FEMA's insufficient oversight resulted in poor financial stewardship of billions of Federal funds for disaster recovery and pandemic relief. For COVID-19 emergency protective measure grants, FEMA over-obligated at least $1.5 billion and did not determine the cost allowability of another $8.1 billion. A sample of 20 other grants identified approximately $32.8 million in improper payments.[31] Also, our COVID-19 related investigations resulted in 307 indictments, 71 criminal informations, 228 convictions, and more than $62 million in recoveries, restitution, and fines as of November 30, 2025.

Regarding disaster recovery grants, FEMA did not ensure the timely rebuilding of Puerto Rico's electrical grid in the aftermath of 2017's Hurricanes Maria and Irma. FEMA obligated more than $13 billion to rebuild Puerto Rico's grid. However, as of February 2025, 92 percent of approved and obligated construction projects were incomplete and $3.7 billion of available permanent work funding had not been obligated for construction of projects. FEMA does not know when Puerto Rico's electrical grid will be completely rebuilt. The grid remains unstable, inadequate, and vulnerable to interruptions.[32] We further noted that FEMA's Hermit's Peak/Calf Canyon Claims Office did not always determine compensation amounts within the 180-day timeframe required because of inadequate staffing resulting in potential delays of billions of dollars from reaching claimants.[33]

FEMA faces unique cohesion challenges stemming from its role in a disaster recovery process that spans more than 30 Federal entities, as well as from limited coordination among its own programs. In 2025, GAO added the need for FEMA to improve delivery of Federal disaster assistance to its High-Risk List, citing the increasing cost and frequency of natural disasters that have severely strained FEMA and its workforce.[34] GAO also reported on the potential for fraud in FEMA disaster relief programs.

[31] *FEMA's Insufficient Oversight of COVID-19 Emergency Protective Measures Grants Led to Over $8.1 Billion in Questioned Costs and $1.5 Billion in Over-obligated Funds*, OIG-25-13, Jan. 31, 2025.
[32] *FEMA Must Provide Additional Technical Assistance to Support the Timely Rebuilding of Puerto Rico's Electrical Grid*, OIG-25-39, Sept. 11, 2025.
[33] *FEMA Established a Process to Review Hermit's Peak Assistance Claims but Did Not Meet Required Processing and Reporting Timeframes*, OIG-25-18, Feb. 25, 2025.
[34] *High-Risk Series: Heightened Attention Could Save Billions More and Improve Government Efficiency and Effectiveness*, GAO-25-107743, Feb. 2025.

Challenge 3

Information Management and Security

DHS operates more than 800 information systems across 23 components, but fragmented management and inconsistent implementation of security policies continue to create inefficiency and cybersecurity risks. A unified enterprise approach is essential to safeguard systems, protect information, and ensure secure integration of emerging technologies.

Information Security Gaps

DHS continues to face significant challenges in ensuring consistent implementation of information security policies and controls across its components, leaving systems vulnerable to cyber threats. The Federal Information Security Modernization Act (FISMA) requires Federal agencies to develop, document, and implement agency-wide information security programs. However, the latest FISMA audit by OIG recommended the Department's Chief Information Officer (CIO) strengthen oversight to ensure components adhere to the Departments' policies to remediate all known information security weaknesses in a timely manner.[35] In addition, OIG's cybersecurity assessments in FY 2025 for DHS headquarters and multiple components found data on missing security patches and non-compliant configuration management settings. These assessments also identified vulnerabilities on the CISA's Known Exploited Vulnerabilities Catalog which could leave the Department vulnerable to cyber-attacks.[36] Assessments identified major issues with access controls, lack of the use of multi-factor authentication, insecure application code, use of weak passwords and encryption, and use of vulnerable mobile device applications.[37] Internal controls, such as ensuring policies are implemented including security patches and configuration settings, would facilitate policy compliance and organizational cohesion. Addressing these weaknesses requires stronger centralized oversight and clear department-wide direction, both of which depend on a unified IT strategy to guide information security management.

[35] *Evaluation of DHS' Information Security Program for Fiscal Year 2024*, OIG-25-28, June 30, 2025.
[36] *CBP's Deficient Mobile Device Management Places Information at Increased Risk (REDACTED)*, OIG-25-42, Sept. 22, 2025; *Inadequate Cybersecurity Rendered DHS Headquarters High-Value System Vulnerable to Attack*, OIG-25-43, Sept. 23, 2025.
[37] *Cybersecurity System Review of a Selected High Value Asset at CISA*, OIG-25-08, Jan. 15, 2025; *Evaluation of DHS' Information Security Program for Fiscal Year 2024*, OIG-25-28, June 30, 2025.

Despite the challenges, DHS is actively working to address these issues. In FY 2025 and FY 2026, the Department has launched key initiatives to provide real-time, data-driven visibility into cyber risks, enable proactive mitigation, and automate detection and response to accelerate remediation and improve coordination. The DHS Office of the Chief Information Officer (OCIO) continues to strengthen cyber resilience by standardizing enterprise tools.

According to the DHS CIO office, the Department does not currently have an approved IT strategic plan and may not have informed all components that the previous plan is no longer in effect. An approved, published IT strategic plan would likely focus departmental resources on priorities to mitigate national security risks including cybersecurity. The DHS IT Strategic Plan is under revision to comply with Presidential Executive Orders and the President Management Agenda. Once published, the IT strategic plan combined with the FY 2025 – FY 2028 Cybersecurity Strategic Plan should help improve organizational cohesion.

Inconsistent Mobile Device Security

Since July 2023, OIG has repeatedly identified mobile device security concerns across various DHS components.[38] Our number of findings has increased with each successive audit: FEMA received 4 recommendations in July 2023, followed by 8 recommendations for ICE in September 2024, and 14 recommendations for CBP in 2025.[39] These audits uncovered problems, such as FEMA's inability to consistently secure information on mobile devices, ICE's inability to implement proper security settings, and ICE and CBP's inadequate use of Mobile Device Management systems, including insufficient monitoring for devices used outside the United States. This body of work underscores the need for greater organizational cohesion and oversight to enable swift, coordinated responses to mobile device threats.

DHS OCIO has taken several actions to address these mobile device recommendations. The DHS OCIO Office of the Chief Information Security Officer validated Mobile Device Management systems and have implemented required technical controls, such as allowlist and block policies. DHS also published revised policy Directive 4300A Attachment to reinforce these requirements along with a DHS Mobile Rules of Behavior.

[38] OIG is currently reviewing I&A and USSS mobile device security and management.
[39] *FEMA Did Not Always Secure Information Stored on Mobile Devices to Prevent Unauthorized Access*, OIG-23-32; July 7, 2023; *ICE Did Not Always Manage and Secure Mobile Devices to Prevent Unauthorized Access to Sensitive Information*, OIG-24-61, Sept. 26, 2024; *CBP's Deficient Mobile Device Management Places Information at Increased Risk (REDACTED)*, OIG-25-42 REDACTED, Sept. 22, 2025.

Looking Forward

DHS must make critical mission support functions more efficient. Specifically, the Department faces significant challenges in human capital, financial stewardship, and information management and security. The success of the Department's mission, fueled by substantial resource growth, hinges on strengthening internal controls and adopting a more cohesive approach to improve its workforce capacity and system integration.

Among the tools available to the Department in this effort is the Annual Evidence Plan, which DHS plans to produce in place of quadrennial Learning Agendas and Annual Evaluation Plans. The Annual Evidence Plan fulfills the requirements of the Foundations for Evidence-Based Policymaking Act of 2018[40] to produce an agency evidence-building plan. Most upcoming evaluations and other evidence building activities planned by the Department are component specific rather than enterprise-wide.

Most performance measures tracked in the FY 2024 Annual Performance Plan are component-level outputs with no discussion of enterprise-wide outcomes.[41] For example, measures for "Administer the Nation's Immigration System" included U.S. Citizenship and Immigration Services (USCIS) processing timelines and ICE removal numbers while "Secure and Manage Our Borders" focuses on CBP interdictions and inspections. Although each component tracks its own performance, the Department does not measure performance to track the total effect of departmental activities. For example, ICE, CBP, USCG, and USCIS missions overlap, but these components do not share definitions concerning key metrics making it difficult to track the overall results of departmental efforts. Further, outdated strategic planning documents make it more difficult for the Department to align its operations with its budget.[42]

Strategic foresight could also help address these challenges. OMB's Circular A-11[43] calls for integrating foresight into strategic planning. A department-wide foresight capability could unify these component efforts, strengthen the Department's ability to anticipate risks, and promote greater cohesion across programs.

[40] *Foundations for Evidence-Based Policymaking Act of 2018*, Public Law 115–435, Jan. 14, 2019.
[41] *FY 2024 Annual Performance Report, Appendix D: Measure Descriptions, Data Collection Methodologies and Completeness and Reliability Information*, DHS, Jan. 16, 2025.
[42] *Oversight Reports Identify Recurring Challenges with DHS Strategic Planning*, OIG-24-64, Sept. 30, 2024.
[43] *Circular No. A-11, Section 200*, p. 6 (definition of Foresight), OMB, Aug. 2025.

Spotlight on Critical Issues

In addition to the three Major Management and Performance Challenges, we are including information on two important areas that either remain unresolved or have Congressional interest. These two critical issues are screening and vetting and transportation security.

Screening and Vetting

Several audits and reviews in recent years have revealed significant challenges with the Department's ability to comprehensively screen and vet populations entering the country. Since 2020, the United States granted 800,000 people parole[44] but did not have necessary information to conduct complete vetting of all parolees before being admitted into the United States,[45] a process to effectively track and monitor parole status,[46] and share derogatory information between components.[47] This population includes evacuees from Afghanistan who were admitted into the United States under Operation Allies Refuge and Operation Allies Welcome. Ensuring that the Department has an established process for continuing to vet admitted parolees and for acting if derogatory information is uncovered is incredibly important to ensure that the parolees do not pose a threat to the American public. Beyond parolees, between 2020 and 2024, the Department of State issued more than 12 million nonimmigrant visas without conducting in-person interviews or collecting fingerprints. CBP frontline officers at U.S. ports of entry conducting inspections were not made aware that some foreign nationals had not been fully screened by the State Department, and CBP has yet to conduct a comprehensive risk assessment on those persons admitted to the United States.[48] OIG has several ongoing projects examining aspects of the Department's screening and vetting processes to determine their effectiveness.

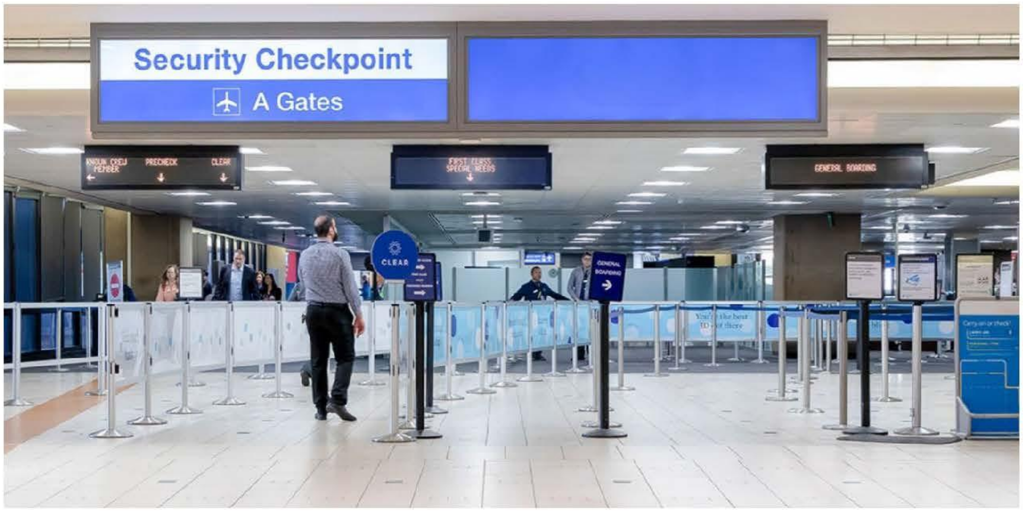
For additional insight on OIG screening and vetting findings, please see the Screening and Vetting section under Resources.

[44] *DHS Needs to Improve Oversight of Parole Expiration for Select Humanitarian Parole Processes*, OIG-25-30, July 2, 2025.
[45] *DHS Encountered Obstacles to Screen, Vet, and Inspect All Evacuees during the Recent Afghanistan Crisis (REDACTED)*, OIG-22-64, Sep. 6, 2022.
[46] *DHS Needs to Improve Oversight of Parole Expiration for Select Humanitarian Parole Processes*, OIG-25-30, July 2, 2025.
[47] *DHS Has a Fragmented Process for Identifying and Resolving Derogatory Information for Operation Allies Welcome Parolees*, OIG-24-24, May 6, 2024; *DHS Needs to Improve Oversight of Parole Expiration for Select Humanitarian Parole Processes*, OIG-25-30, July 2, 2025.
[48] *CBP Has Not Evaluated the Security Risks of Interview-Waived Nonimmigrant U.S. Visa Holders (REDACTED)*, OIG-25-50, Sept. 30, 2025.

Transportation Security

OIG reviews since 2004 have revealed significant challenges in Transportation Security Administration's (TSA) security. In November 2025, we issued our seventh report with results of our covert testing of TSA's airport checkpoint security screening effectiveness.[49] We identified vulnerabilities with TSA's checkpoint screening technologies, related procedures, and actions of transportation security officers to prevent threat items from being brought onto commercial aircraft. Since 2004, OIG has issued 58 recommendations for TSA to improve security screening. Seven of these recommendations remain open and should be addressed to mitigate ongoing risks to aviation security. In addition to OIG's extensive work on covert testing, we have conducted oversight of other TSA security programs. During a cybersecurity review of a TSA high value IT system, we identified multiple critical and high-risk vulnerabilities.[50] We also conducted a review of how TSA handles misconduct allegations and found that conflicting management directives impeded collaboration and potentially jeopardize the ability to mitigate insider threats.[51] OIG currently has ongoing audits and reviews of TSA's vetting of airport workers, use of biometrics for screening and vetting of passengers, TSA's efforts to secure Watchlist data, and oversight of the aviation sector cybersecurity readiness.

For additional insight on OIG TSA security, please see the Transportation Security section under Resources.



[49] Covert Testing of TSA's Checkpoint Security Screening Effectiveness, OIG-26-01, Nov. 1, 2025
[50] Cybersecurity System Review of the Transportation Security Administration's Selected High Value Asset, OIG-23-44, Aug. 28, 2023.
[51] TSA Policies Impede Effective Coordination and Investigation of Misconduct Allegations (REDACTED), OIG-25-32, Aug. 13,2025.

Appendix A: Acronyms

AI	Artificial Intelligence
CBO	Congressional Budget Office
CBP	Customs and Border Protection
CIO	Chief Information Officer
CISA	Cybersecurity and Infrastructure Security Agency
CTMS	Cybersecurity Talent Management System
FEMA	Federal Emergency Management Agency
FISMA	Federal Information Security Modernization Act
GAO	U.S. Government Accountability Office
ICE	Immigration and Customs Enforcement
IT	Information Technology
MMPC	Major Management and Performance Challenges
OBBBA	One Big Beautiful Bill Act
OCIO	Office of the Chief Information Officer
OECD	Organization for Economic Co-operation and Development
TSA	Transportation Security Administration
USCG	U. S. Coast Guard
USCIS	U.S. Citizenship and Immigration Services
USSS	United States Secret Service

Appendix B: Resources

DHS OIG

For all audits, inspections, and evaluations published in FY 2025, please visit *DHS OIG Reports*.

Screening and Vetting

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Transportation Security

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U.S. Department of Homeland Security
Washington, DC 20528

Homeland Security

January 9, 2026

MEMORANDUM FOR: Joseph V. Cuffari, Ph.D.
Inspector General

FROM: Holly C. Mehringer
Senior Official Performing the Duties of the
Chief Financial Officer

SUBJECT: Management Response to Draft Report: "Major Management and Performance Challenges Facing the Department of Homeland Security"

Thank you for the opportunity to comment on this major management and performance challenges report. The U.S. Department of Homeland Security (DHS, or the Department) appreciates the work of the Office of Inspector General (OIG) in developing and issuing this report. We value your office's earlier engagement with DHS and Components, the clearer report structure, and your inclusion of information about our progress in addressing challenges. DHS and Component leadership at all levels will review the report and consider how the perspectives contained in it could best impact the way we carry out our mission.

The Department continually works to address challenges described as "divided responsibilities and duplicated efforts" in the report. DHS is evolving, and the Administration is taking bold steps to improve operations. Regarding hiring, we appreciate OIG's recognition of our Career Expos, which are helping increase law enforcement hiring to support immigration and border enforcement. On financial stewardship, the Department achieved its goal of Full Operational Capability in 2025 for the DHS Financial Management System supporting the Countering Weapons of Mass Destruction Office, the Transportation Security Administration, and the U.S. Coast Guard. With respect to information management and security, DHS had numerous accomplishments during the past year to strengthen our cybersecurity posture, improve compliance and vulnerability management, and enhance risk management. As just one example, DHS demonstrated a strong commitment to risk mitigation by creating over 12,000 new Plans of Action and Milestones for Sensitive Systems and successfully closing nearly all of them within the year.

The Department acknowledges the risks noted in the report about One Big Beautiful Bill Act (OB3) funding. This legislation provided a historic investment in the department and its missions and DHS will diligently manage the hiring, financial, and information management and security risks that may arise. To ensure unified oversight, the Secretary of Homeland Security designated the Senior Official Performing the Duties of the Under Secretary for Management as the OB3 Principal Executive Officer responsible for Department-wide governance of all related functions. In addition, each Component receiving funding has named dedicated senior executives to manage this important priority, ensuring accountability and coordination across the Department.

We remain committed to working with the dedicated men and women of the OIG in their important work, and to address challenges highlighted in this report. DHS previously submitted technical comments addressing several accuracy, contextual and other concerns under a separate cover for consideration, as appropriate. Please contact me with any questions. We look forward to working with you in the future.

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APPENDIX A:
ACRONYMS

A

ADA – Antideficiency Act of 1982
AFR – Agency Financial Report
AGA – Association of Government Accountants

C

CARES Act - Coronavirus Aid, Relief, and Economic Security Act of 2020
CBP – U.S. Customs and Border Protection
CEAR – Certificate of Excellence in Accountability Reporting
CFO – Chief Financial Officer
CFR – Code of Federal Regulations
CIP – Construction in Progress
CISA – Cybersecurity and Infrastructure Security Agency
COBRA – Consolidated Omnibus Budget Reconciliation Act of 1986
COLA – Cost of Living Allowance
COVID-19 – Coronavirus Disease 2019
CPI – Consumer Price Index
CWMD – Countering Weapons of Mass Destruction Office

D

D.C. – District of Columbia
DADLP – Disaster Assistance Direct Loan Program
DATA Act – Digital Accountability and Transparency Act of 2014
DCIA – Debt Collection Improvement Act of 1996
DHS – Department of Homeland Security
DoD – Department of Defense
DOL – Department of Labor
DRF – Disaster Relief Fund

E

EBT – Electronic Benefit Transfer

F

FECA – Federal Employees' Compensation Act of 1916
FEMA – Federal Emergency Management Agency
FERS – Federal Employees Retirement System
FFDC – Funds from Dedicated Collections
FFMIA – Federal Financial Management Improvement Act of 1996
FIFA – Fédération Internationale de Football Association
FISMA – Federal Information Security Modernization Act of 2014
FLETC – Federal Law Enforcement Training Centers
FMFIA – Federal Managers' Financial Integrity Act of 1982
FOIA – Freedom of Information Act of 1966
FY – Fiscal Year

G

GAAP – Generally Accepted Accounting Principles
GAO – U.S. Government Accountability Office
GO – Grants Outcomes
GS – General Service
GSA – General Services Administration

H

HFIAA – Homeowner Flood Insurance Affordability Act of 2014

I

I&A – Office of Intelligence and Analysis
ICE – U.S. Immigration and Customs Enforcement
IEFA – Immigration Examination Fee Account
INA – Immigration and Nationality Act of 1952
IP – Improper Payments
IT – Information Technology
ITGC – Information Technology General Controls
IUC – Information Used in Controls

M

MD&A – Management's Discussion and Analysis
MERHCF – Medicare-Eligible Retiree Health Care Fund
MGMT – Management Directorate
MHS – Military Health System

N

NFIP – National Flood Insurance Program

About the Section Cover Photo: USCG aviation and boat crews training to lower a basket from a MH-60T helicopter onto a 45-foot response boat in three-to-four-foot seas, practicing for search and rescue operations outside Los Angeles Harbor, California, on May 26, 2025.

O

OAW – Operation Allies Welcome
OB3 – One Big Beautiful Bill Act of 2025
OCFO – Office of the Chief Financial Officer
OIG – Office of Inspector General
OM&S – Operating Materials and Supplies
OMB – U.S. Office of Management and Budget
OPA – Oil Pollution Act of 1990
OPEB – Other Post-Employment Benefits
OPM – U.S. Office of Personnel Management
ORB – Other Retirement Benefits
OSA – Office of Homeland Security Situational Awareness
OSLTF – Oil Spill Liability Trust Fund

P

P.L. – Public Law
PIIA – Payment Integrity Information Act of 2019
PP&E – Property, Plant, and Equipment
PPA – Prompt Payment Act of 1982
PRNI – Pre-Ransomware Notification Initiative

R

RTU – Right-to-Use
RVWP – Ransomware Vulnerability Warning Pilot

S

S&T – Science and Technology Directorate
SAVE – Systematic Alien Verification for Entitlements
SES – Senior Executive Service
SFFAS – Statement of Federal Financial Accounting Standards
SFRBTF – Sport Fish Restoration and Boating Trust Fund
SNAP – Supplemental Nutrition Assistance Program
SOC – Service Organization Controls

T

TAFS – Treasury Appropriation Fund Symbol
TBI – Treasury Breakeven Inflation
TSA – Transportation Security Administration

U

U.S. – United States
U.S.C. – United States Code
UD – Uniformed Division
UP – Unknown Payments
USCG – U.S. Coast Guard
USCIS – U.S. Citizenship and Immigration Services
USPS – U.S. Postal Service
USSGL – U.S. Standard General Ledger
USSS – U.S. Secret Service

W

WYO – Write Your Own

V

VAYGo – Validate as You Go

APPENDIX B:
ACKNOWLEDGEMENTS

Building Trust Through Transparency

DHS is dedicated to fostering public trust by openly sharing our successes, challenges, and progress. Our financial and performance reports demonstrate responsible resource management and our commitment to safeguarding the American people. Learn more at dhs.gov/performance-financial-reports.

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Report Contributors

The DHS AFR is the result of extensive collaboration and expertise from various individuals and teams, enhancing the report's clarity and depth, and represents the Department's commitment to transparency and accountability. The AFR provides critical insights into the Department's financial management, performance, and strategy.

This AFR was produced with the tireless energies and talents of DHS Headquarters and Component employees and contract partners. Within the DHS OCFO, the division of Financial Management is responsible for financial management policy, preparing annual financial statements and related notes and schedules, and coordinating the external audit of the Department's financial statements. The division of Risk Management and Assurance provides direction in the areas of internal control to support the Secretary's assurance statement, risk management, and improper payments. The division of Program Analysis and Evaluation conducts analysis for the Department on resource allocation issues and the measurement, reporting, and improvement of DHS performance, and coordinates the Component summaries in the AFR MD&A. The division of GAO-OIG Audit Liaison facilitates Department relationships with audit organizations and coordinates with OIG on the Management Challenges report. Our partners Old Dominion Strategies, LLC, support with report design and development. We offer our sincerest thanks to all the offices and partners involved in the Department's FY 2025 AFR for their hard work and contributions.

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About the Section Cover Photo: CBP Border Patrol Agents patrol the Mariposa Point of Entry at Nogales, Arizona on March 15, 2025.

Homeland Security

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